INVESTING & MARKETS (INDIA)

Mutual Funds, SIPs, ETFs & Index Investing

The complete Indian fund investor's manual — how an AMC is structured and what you actually own, NAV and cut-off rules, the true lifetime cost of a regular plan, every SEBI fund category, debt duration and credit risk worked out, index funds versus ETFs, what SPIVA India really says about active management, SIP and STP and SWP mechanics with honest rupee-cost-averaging maths, fund selection without star ratings, ELSS and NPS, and fund taxation after the 2023 and 2024 changes.

mutual funds · sip · etf · index funds · india · sebi · amfi · nav · expense ratio · direct plan · debt funds · elss · nps · taxation · asset allocation · passive investing

Study Pack · Comprehensive reference & interview prep · ~113 min read · 24,857 words

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Why a Fund, Not a Stock, Is the Right First Instrument

The question is not whether picking stocks can work. It is whether it is the right use of *your* hours, given that a pooled vehicle gives you instant diversification, professional execution and a regulated structure for a cost measured in basis points. For almost every Indian software engineer with a full-time job, the honest answer is that funds should be the core and direct equity, if it appears at all, should be a deliberately capped sleeve.

✕ **This is financial education, not financial advice**
Nothing in this guide recommends any specific mutual fund, exchange-traded fund, scheme, AMC, platform or product. Fund *categories* and index-based approaches are discussed with their trade-offs stated, never as picks. **Past performance does not predict future returns.** Mutual fund investments are subject to market risks; you can lose money including your entire capital, and that is true of equity funds, hybrid funds and debt funds alike. For advice specific to your circumstances, consult a **SEBI-registered Investment Adviser (RIA)** and verify their registration number on the SEBI intermediary portal before paying anything.

⚠ **Every rate, limit, tax, category rule and charge: as at FY 2025-26 / late 2026**
SEBI scheme categorisation, total expense ratio slabs, cut-off timing rules, exit load conventions, capital gains rates and holding periods, Section 80C and 80CCD limits, NPS charges and exit rules, and stamp duty all change by circular, notification or Finance Act. **Verify every number here before relying on it** at **sebi.gov.in**, **amfiindia.com**, **incometax.gov.in**, **pfrda.org.in** and the scheme's own Scheme Information Document. Treat each figure as illustrative of a structure, not as a current quotation.

The arithmetic of diversification

TEXT

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WHY ONE STOCK IS NOT LIKE TWENTY

Suppose each stock in a universe has a 4% chance of
losing 90%+ of its value over ten years (business
failure, fraud, obsolescence, a terminal regulatory
change). This is not pessimistic; across any broad
market over a decade, a meaningful tail of companies
does exactly this.

  Hold 1 stock:
    probability of a catastrophic hit = 4%
    if it happens, your equity portfolio is gone

  Hold 5 stocks, equally weighted:
    probability at least one is hit
      = 1 - 0.96^5 = 18.5%
    if one is hit, you lose 90% of 20% = 18% of
    the portfolio - painful, survivable

  Hold 20 stocks:
    probability at least one is hit
      = 1 - 0.96^20 = 55.8%
    expected number hit = 0.8
    if one is hit, you lose 90% of 5% = 4.5%
    - a bad quarter, not a disaster

  Hold an index fund of 250 companies:
    expected number hit = 10
    expected drag = 10 x 90% x 0.4% = 3.6% of the
    portfolio spread across a decade, and it is
    already embedded in the index's historical
    return

THE POINT: diversification does not raise your
expected return. It removes the LEFT TAIL - the
outcomes from which you cannot recover. Expected
return is set by the asset class and the price you
pay; survival is set by position count and sizing.
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What a fund gives you that you cannot easily build

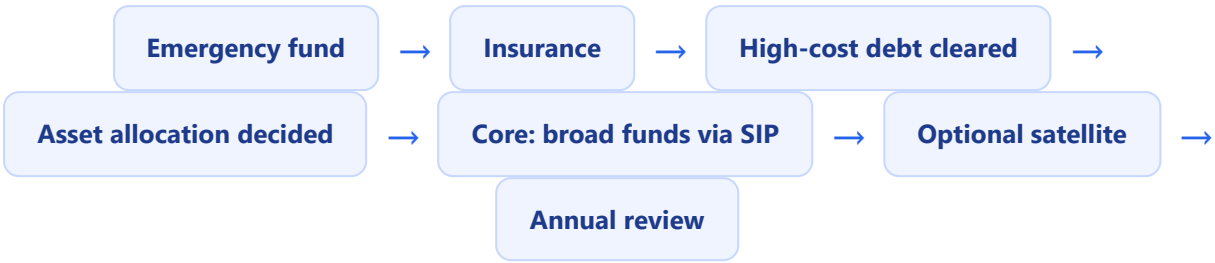
Capability	Doing it yourself	Through a fund
Diversification	Needs 25–40 holdings researched and monitored. At 30 hours of research per company per year that is a second job.	Immediate, from the first ₹500 instalment
Research	You, in the evenings, with no company access	A team with analyst coverage, management access and sector specialisation
Execution	Retail brokerage, spreads, your own behaviour under stress	Institutional desks, lower impact cost, no decision required from you
Discipline	Entirely self-imposed	An SIP mandate removes the monthly decision, which is the point
Regulatory protection	SEBI protections apply to the market, not to your choices	Trustee oversight, custodian separation, mandatory disclosure, daily NAV, portfolio publication, investment restrictions
Access to debt markets	Effectively impossible — corporate bond lots are large and the retail secondary market is thin	A debt fund gives you a diversified bond portfolio for a few hundred rupees
Cost	Brokerage, STT, stamp duty, exchange charges, GST per trade, plus your time at whatever you value it	A direct-plan index fund can cost well under 0.30% a year all-in; an active direct plan typically 0.5–1.2%
Tax efficiency within the vehicle	Every rebalance you do is a taxable event for you	The fund's internal churn does not trigger tax for you; only your own redemption does

> **What a fund does not give you**
> It does not give you higher returns — the average active fund must, by arithmetic, earn the market return before costs and less than it after costs. It does not remove market risk: an equity fund will fall 40% when the market falls 40%, and no fund manager will protect you from that. It does not remove the need for asset allocation, which remains your decision. And it does not remove behaviour risk: the largest single destroyer of fund investors' returns is their own decision to stop or redeem during a drawdown, which no amount of professional management can prevent. The foundations guide deals with asset allocation and behaviour; this one deals with the vehicle.

The time arithmetic, stated plainly

Approach	Setup time	Ongoing hours per year	What can go wrong	Suitable for
Two or three index funds, SIP, annual rebalance	3–5 hours once	2–3 hours	You stop the SIP in a drawdown	Almost everyone, as the core
Four to five actively managed funds across categories	10–15 hours	6–10 hours	Chasing last year's winner; portfolio overlap; paying for closet indexing	Investors who want active exposure and will do the review work
Direct stocks, 10–15 holdings	300–500 hours	150–250 hours	Concentration in your own blind spots; one fraud; one leveraged cyclical at the peak	People who genuinely enjoy the work and have the hours
Direct stocks, under-researched	5 hours	10 hours	Everything. This is the most common and most expensive configuration in Indian retail investing.	Nobody

A reasonable default structure



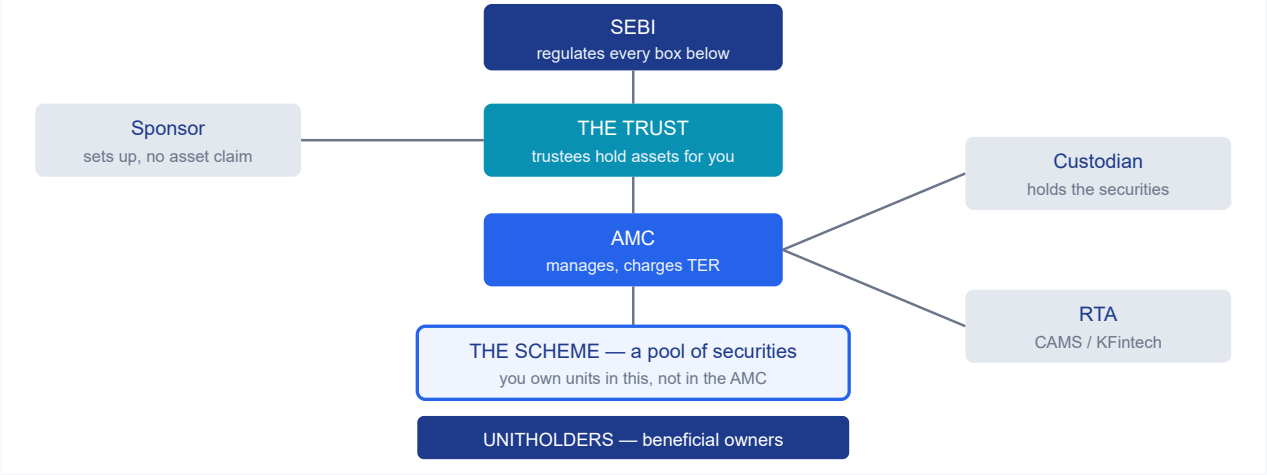
Note that the fund selection question — which this guide spends most of its length on — sits near the *end* of that sequence. The decisions before it matter far more. An investor with the right asset allocation in a mediocre fund will comfortably beat an investor with the wrong allocation in an excellent one. Choosing well is worth perhaps 0.5–1.5% a year; choosing the wrong equity exposure for your horizon can cost you 30% of your corpus at the moment you need it.

How a Mutual Fund Actually Works

An Indian mutual fund is not a company and the AMC does not own your money. The structure is a trust, deliberately designed so that the entity managing the money, the entity holding the money and the entity keeping the records are all different. Understanding this structure is what tells you what actually happens if an AMC fails — and the answer is reassuring in a way most investors do not realise.

The five entities and what each does

Entity	Legal role	What it actually does	Governed by
Sponsor	The promoter who establishes the fund	Contributes the initial capital and applies to SEBI. Must meet eligibility criteria on track record and net worth. Has no claim on scheme assets.	SEBI (Mutual Funds) Regulations, 1996
Trust and Trustees	The mutual fund itself is a **trust** created under the Indian Trusts Act, 1882	**The trustees hold scheme assets in trust for unitholders.** They are legally obliged to act in unitholders' interest, oversee the AMC, review its performance and compliance, and report to SEBI. At least two-thirds of trustees must be independent of the sponsor.	SEBI MF Regulations; Indian Trusts Act
Asset Management Company (AMC)	Appointed by the trustees to manage the schemes	Employs the fund managers and analysts, makes investment decisions within the scheme mandate, markets the schemes, and charges the management fee within the TER cap. **It is a service provider, not an owner.**	SEBI MF Regulations; must meet net-worth requirements
Custodian	Holds the scheme's securities	A separate SEBI-registered entity that physically or electronically holds every security the scheme owns, independent of the AMC. Settlement of trades happens through it.	SEBI (Custodian) Regulations
Registrar and Transfer Agent (RTA)	Maintains the unitholder records	Processes purchases, redemptions and switches; maintains your folio; issues account statements; handles KYC and nomination records. In India this is dominated by **CAMS** and **KFintech**.	SEBI (RTA) Regulations



The Indian mutual fund trust structure. The AMC manages the money; it never owns or holds it.

What you actually own

You own **units** in a scheme. A unit is a proportionate beneficial interest in a specific pool of securities held by the trustees through a custodian. You do not own shares in the AMC, you are not a creditor of the AMC, and the AMC cannot pledge your units or use scheme assets for its own purposes.

WHAT HAPPENS IF THE AMC FAILS

- **Scheme assets are not available to the AMC's creditors.** They belong to the trust, held for unitholders, and are custodied separately. This is the entire point of the structure.
- **The trustees can terminate the AMC's appointment** and appoint another, subject to SEBI and unitholder approval as required under the regulations.
- In practice, Indian AMCs that have been sold, merged or wound down have had their schemes transferred to another AMC or merged into similar schemes, with unitholders given an exit option at the prevailing NAV without exit load.
- **What the structure does not protect you from is the performance of the underlying securities.** If a debt scheme holds bonds that default, you lose money, and no amount of trustee oversight changes that. There is no deposit insurance equivalent for mutual funds, and there should not be — you are taking market risk by design.

⚠ **The side-pocket and the wind-up mechanism**

Two mechanisms you should know exist. A **segregated portfolio (side pocket)** allows an AMC, on a credit event, to separate the affected security into a separate set of units so that the rest of the scheme remains liquid and new investors are not harmed. A **wind-up** under Regulation 39 allows a scheme to be closed; following events in the Indian debt fund market in 2020 and the subsequent litigation, SEBI clarified that unitholder consent by simple majority is required and provided detailed disclosure and timeline rules. Both are real, both have been used, and both mean a debt fund is not a bank deposit. Read the SID section on segregated portfolios before investing in any credit-risk-taking scheme.

Investment restrictions the regulations impose

Restriction	Effect
Single-issuer limits for equity and debt exposure within a scheme	Prevents a scheme concentrating in one company or issuer beyond prescribed percentages, with higher limits permitted for government securities
Group and sector exposure caps for debt schemes	Limits concentration in one corporate group or in one sector (with carve-outs for housing finance, subject to prescribed sub-limits)
Minimum liquid asset holding for open-ended debt schemes	Introduced after the 2020 redemption stress; schemes must hold a prescribed minimum in cash, government securities, treasury bills and repo on G-Secs
Stress testing and liquidity disclosure	Mid- and small-cap equity schemes publish stress test results showing the time to liquidate a portion of the portfolio; debt schemes disclose potential risk class matrices
Valuation norms	Securities must be valued per SEBI-prescribed principles, with independent valuation agencies providing prices for debt securities
Borrowing limit	A scheme may borrow only to meet temporary liquidity needs, within a prescribed percentage of net assets and for a prescribed short period
Skin in the game	AMCs must invest a prescribed portion of their own capital in their schemes, and designated employees receive a portion of compensation as units of the schemes they manage, with lock-in

Verify the current numerical limits at sebi.gov.in — these have been revised several times and are set out in the SEBI (Mutual Funds) Regulations, 1996 and in the SEBI master circular for mutual funds.

NAV Properly Understood

Net asset value is the one number every fund investor sees daily and the one most frequently misunderstood. It is not a price in the sense a share price is a price. It is an arithmetic consequence of the portfolio's value divided by the units outstanding, and a ₹12 NAV is in no sense cheaper than a ₹480 NAV.

How NAV is computed

TEXT

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NAV COMPUTATION - WORKED

A scheme at the close of 21 October 2026:

  Market value of equity holdings      1,842,60,00,000
  Market value of debt holdings           96,40,00,000
  Cash and bank balances                  41,20,00,000
  Receivables (dividends, sale proceeds)   6,80,00,000
                                       ----------------
  TOTAL ASSETS                         1,987,00,00,000

  Less: accrued TER for the day            (24,50,000)
  Less: payables (purchases pending)    (12,30,00,000)
  Less: other liabilities                  (1,20,00,000)
                                       ----------------
  NET ASSETS                           1,973,25,50,000
                                       = Rs 1,973.26 cr

  Units outstanding                     108,45,62,340
                                       = 108.46 crore

  NAV per unit = 1,973,25,50,000 / 108,45,62,340
               = Rs 18.1943

NAV is declared to FOUR decimal places for most
schemes and must be published by 11 pm on each
business day (liquid and overnight schemes have
their own timing rules). AMFI publishes every
scheme's NAV daily at amfiindia.com - this is the
authoritative source, free, and far more reliable
than any aggregator.

TER IS ALREADY DEDUCTED
The expense ratio is accrued DAILY and subtracted
before the NAV is published. You never pay it
separately and you will never see it as a debit.
This is why many investors believe they are not
paying it. They are:
  TER 1.80% per year on Rs 1,973 cr
  = Rs 35.52 cr a year
  = Rs 9.73 lakh PER DAY, deducted from the NAV
    before you see it.
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Why a low NAV is not "cheap" — the arithmetic

TEXT

THE MOST COMMON BEGINNER ERROR, SETTLED

You have Rs 1,00,000 to invest. Two funds hold IDENTICAL portfolios; one is simply older.

FUND A: NAV Rs 15	FUND B: NAV Rs 450
Units you get	Units you get
= 100000/15	= 100000/450
= 6,666.67	= 222.22

Now both portfolios rise 20%.

FUND A: NAV → Rs 18	FUND B: NAV → Rs 540
Value = 6,666.67 x 18	Value = 222.22 x 540
= Rs 1,20,000	= Rs 1,20,000

IDENTICAL. The number of units is irrelevant. What matters is the PERCENTAGE change in NAV, which is determined entirely by the underlying portfolio.

WHY THIS CONFUSION EXISTS

With a SHARE, price per share relates to earnings per share, so a low price can genuinely be cheap relative to earnings. With a FUND UNIT there is no such relationship: the NAV is just total value divided by unit count, and the unit count is arbitrary – it depends only on how long the scheme has existed and how much money has flowed in.

A new fund offer at Rs 10 is NOT a discount. It is a brand-new portfolio bought at today's market prices, with no track record, launched because the category is currently easy to sell.

THE "DIVIDEND MAKES NAV FALL" POINT

If a scheme with NAV Rs 50 declares an IDCW payout of Rs 4 per unit, the NAV falls to Rs 46 on the record date. You received Rs 4 in cash and your NAV fell by Rs 4. NOTHING WAS CREATED. Your total value is unchanged, except that you now owe tax on the Rs 4 at your slab rate. This single mechanism has cost Indian retail investors a great deal of money.

Cut-off timings and the realisation rule

Scheme type	Transaction	Cut-off time	NAV you get
Liquid and overnight	Purchase / switch-in	1:30 pm	Previous day's NAV, **provided funds are realised in the scheme account before the cut-off**
Liquid and overnight	Redemption / switch-out	3:00 pm	Same day's NAV
All other schemes (equity, debt, hybrid, index, ELSS)	Purchase / switch-in	3:00 pm	Same day's NAV, **provided funds are realised in the scheme account before the cut-off**
All other schemes	Redemption / switch-out	3:00 pm	Same day's NAV

✕ **The realisation rule catches people out constantly**

Since **1 February 2021**, for all schemes and **all amounts** (the earlier ₹2 lakh threshold was removed), the applicable NAV depends on the **funds actually reaching the scheme's bank account** before the cut-off, not on when you clicked submit. Practical consequences: a UPI or NEFT transfer initiated at 2:55 pm will almost certainly not be realised by 3:00 pm, so you get the *next* business day's NAV. A payment made on a Friday afternoon may be realised only on Monday. An SIP instalment debited on the 5th may be allotted at the 6th or 7th's NAV depending on the mandate and the bank. **This is not a defect; it exists so that existing unitholders are not diluted by someone getting today's NAV with tomorrow's money.** If you care about which NAV you get — and for a long-horizon SIP you should not — transact well before cut-off. Verify the current rules at sebi.gov.in.

Growth versus IDCW: settle this once

	Growth option	IDCW payout	IDCW reinvestment
What happens to gains	Retained in the scheme; NAV rises	Periodically paid out in cash; NAV falls by the payout	Paid out notionally and immediately used to buy more units at the ex-NAV
Tax treatment	No tax until you redeem. Then capital gains, with the concessional LTCG rate if the holding period is met.	**Taxed at your slab rate** as income from other sources, in the year received, plus TDS under Section 194K where the threshold is crossed	Same as payout — **taxed at slab even though you received no cash**, and the reinvested units start a fresh holding period
Compounding	Full, undisturbed, pre-tax	Broken — you receive cash and must redeploy it	Broken by tax leakage each time
Control over timing	Complete — you decide when to realise gains	None — the AMC decides when to distribute	None
Verdict	**Correct for almost everyone**	Only if you genuinely need periodic cash *and* are in a low tax bracket — and even then an SWP from the growth option is usually more tax-efficient	**Almost never correct.** You get the tax treatment of a payout with none of the cash.

TEXT

WHY "IDCW" WAS RENAMED, AND WHY IT MATTERS

SEBI required the "dividend" option to be renamed
"Income Distribution cum Capital Withdrawal"
because the old name misled investors into believing
the payout was income GENERATED BY the fund, like a
company dividend out of profits.

It is not. It is a distribution out of the scheme's
own net asset value, which can include your own
capital. The AMC must separately disclose how much
of each distribution is income and how much is
equalisation reserve - i.e. a return of your money.

WORKED COMPARISON OVER 10 YEARS
Rs 10,00,000 invested, portfolio returns 12% a year,
investor in the 30% slab (plus cess).

GROWTH OPTION
  Value after 10 years = 10,00,000 x 1.12^10
                       = Rs 31,05,848
  Gain   = Rs 21,05,848
  LTCG tax at 12.5% on gains above Rs 1.25 lakh
    taxable gain   = Rs 19,80,848
    tax   = Rs 2,47,606
  NET   = Rs 28,58,242

IDCW PAYOUT, assume 6% of NAV distributed yearly and
reinvested manually after tax
  Each year roughly half the return is paid out and
  taxed at ~31.2% before being reinvested, so the
  effective compounding rate falls from 12% to
  approximately 12% - (6% x 0.312) = 10.13%
  Value after 10 years = 10,00,000 x 1.1013^10
                       = Rs 26,25,000 (approx)
  plus LTCG on the residual growth component

  SHORTFALL vs growth option: roughly Rs 2.3 lakh
  on a Rs 10 lakh investment, i.e. about 23% of the
  original capital, created purely by the choice of
  option.

The gap widens with horizon and with tax bracket.
For a 25-year horizon it is enormous.

✦ **If you need regular cash, use an SWP instead**

A Systematic Withdrawal Plan from the growth option redeems a fixed rupee amount each month. Each redemption is part capital and part gain, so only the gain portion is taxed — and once the units are over twelve months old in an equity fund, that gain is taxed at the concessional long-term rate with the annual exemption available. An IDCW payout of the same amount is taxed **entirely at slab**. For anyone above the lowest slab, SWP from growth is structurally more efficient than IDCW, and you control the amount and the timing. Section 15 works through the tax arithmetic.

Costs: TER, Direct Versus Regular, and the Lifetime Price of a Distributor

Costs are the only variable in investing that is known in advance, guaranteed to apply, and entirely within your control. Returns are uncertain; a 1.1 percentage point annual cost difference is certain. Over a 25-year accumulation, that certain difference can consume an amount roughly equal to everything you contributed.

Total Expense Ratio and the SEBI slab structure

TER is the annual charge, expressed as a percentage of a scheme's daily net assets, covering the investment management fee, registrar and custodian charges, audit, marketing, distributor commission (in regular plans), and GST on the management fee. SEBI caps it on a sliding scale that falls as the scheme grows.

Assets under management slab	Maximum TER — equity-oriented schemes	Maximum TER — other than equity
First ₹500 crore	2.25%	2.00%
Next ₹250 crore	2.00%	1.75%
Next ₹1,250 crore	1.75%	1.50%
Next ₹3,000 crore	1.60%	1.35%
Next ₹5,000 crore	1.50%	1.25%
Next ₹40,000 crore	TER reduced by 0.05 percentage points for every additional ₹5,000 crore of AUM, or part thereof	
Above ₹50,000 crore	1.05%	0.80%
Index funds and ETFs: maximum 1.00%. **Fund of funds investing predominantly in index funds or ETFs:** maximum 1.00%. **Other fund of funds:** higher cap applies. **Close-ended equity:** 1.25%; other close-ended: 1.00%.		

⚠ **These slabs are caps, not charges — and they change**

A scheme may charge less, and competitive direct-plan index funds charge far less than the 1.00% cap. SEBI has also varied the rules on additional expenses: a permitted add-on for inflows from beyond the top-30 cities (the "B-30 incentive") was **suspended**, and the additional expense previously permitted in lieu of exit load has been revisited. SEBI has consulted on moving to a **uniform TER at the AMC level** rather than per scheme, and on bringing more costs inside the cap. **Verify the current structure at sebi.gov.in and the actual TER of any scheme in its latest monthly factsheet and on the AMC website, which must publish TER daily.**

Direct versus regular: the single most consequential decision in this guide

	Direct plan	Regular plan
Introduced	1 January 2013, by SEBI mandate	Pre-existing
Portfolio	**Identical.** Same fund manager, same securities, same scheme. The *only* difference is the expense ratio.	
What the extra cost pays for	Nothing — there is no distributor	Distributor commission, paid as an ongoing **trail** for as long as you hold the units
Typical TER gap	Roughly **0.5 to 1.3 percentage points** for actively managed equity schemes; smaller for debt and index funds. Check the actual gap in the factsheet — it is published for both plans.	
How to buy	AMC website, MF Central, the RTA portals, or a direct-plan platform	A distributor, bank relationship manager, or most "free" app-based platforms
Advice included	No	Possibly — but a distributor earns commission on what you buy and is regulated as a distributor, not as an adviser

TEXT

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THE 25-YEAR COST OF A REGULAR PLAN
SIP of Rs 20,000 a month for 25 years (300 months)
Gross portfolio return assumed 12.00% a year

  DIRECT PLAN   TER 0.60%  →  net return 11.40%
  REGULAR PLAN  TER 1.70%  →  net return 10.30%

Future value of a monthly SIP (investing at the
start of each month):
  FV = P x [((1+i)^n - 1) / i] x (1+i)

DIRECT
  i = 0.1140 / 12 = 0.009500
  n = 300
  (1.0095)^300          = 17.0566
  (17.0566 - 1)/0.0095  = 1,690.17
  x 20,000              = 3,38,03,400
  x 1.0095              = Rs 3,41,24,600
                        = Rs 3.41 crore

REGULAR
  i = 0.1030 / 12 = 0.00858333
  (1.00858333)^300      = 12.9877
  (12.9877 - 1)/0.00858333 = 1,396.62
  x 20,000              = 2,79,32,400
  x 1.00858333          = Rs 2,81,72,200
                        = Rs 2.82 crore

  TOTAL CONTRIBUTED  20,000 x 300 = Rs 60,00,000

  DIFFERENCE  3,41,24,600 - 2,81,72,200
           = Rs 59,52,400
           = Rs 59.5 LAKH

READ THAT AGAIN. You contributed Rs 60 lakh over
25 years. The regular-plan trail commission consumed
Rs 59.5 lakh - very close to your entire principal -
and it bought you nothing the direct plan did not
also provide.

Expressed differently: the regular-plan corpus is
17.4% smaller. Expressed yet differently: the
distributor's cumulative share equals 17.4% of your
final wealth, taken 1.1% at a time, invisibly,
deducted from NAV before you ever see it.

SHORTER HORIZONS, SAME ARITHMETIC
  10 years:  Direct Rs 45.6 lakh | Regular Rs 43.2
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              lakh  → gap Rs 2.4 lakh
  15 years:   Direct Rs 89.6 lakh | Regular Rs 83.0
              lakh  → gap Rs 6.6 lakh
  20 years:   Direct Rs 1.68 cr   | Regular Rs 1.52
              cr    → gap Rs 16 lakh
  25 years:   gap Rs 59.5 lakh
  30 years:   gap approx Rs 1.4 crore

The gap compounds. It is small early and enormous
late, which is exactly why it is so easy to ignore
at the start.
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Check which plan you actually hold

Many investors believe they hold direct plans and do not. A large number of app-based and bank platforms that charge you nothing visibly are **distributors** earning trail commission from regular plans — that is their revenue model. Three ways to check: (1) the scheme name in your account statement must contain the word **"Direct"**; (2) your Consolidated Account Statement from CAMS or KFintech shows an **ARN number** against the folio if a distributor is attached, and "DIRECT" if not; (3) compare the NAV of your holding against the scheme's direct-plan NAV on amfiindia.com — the direct plan's NAV will be visibly higher for the same scheme. If you hold regular plans, switching to direct is a **redemption plus purchase** and is therefore a taxable event with a possible exit load; run the arithmetic in section 18 before switching a large holding.

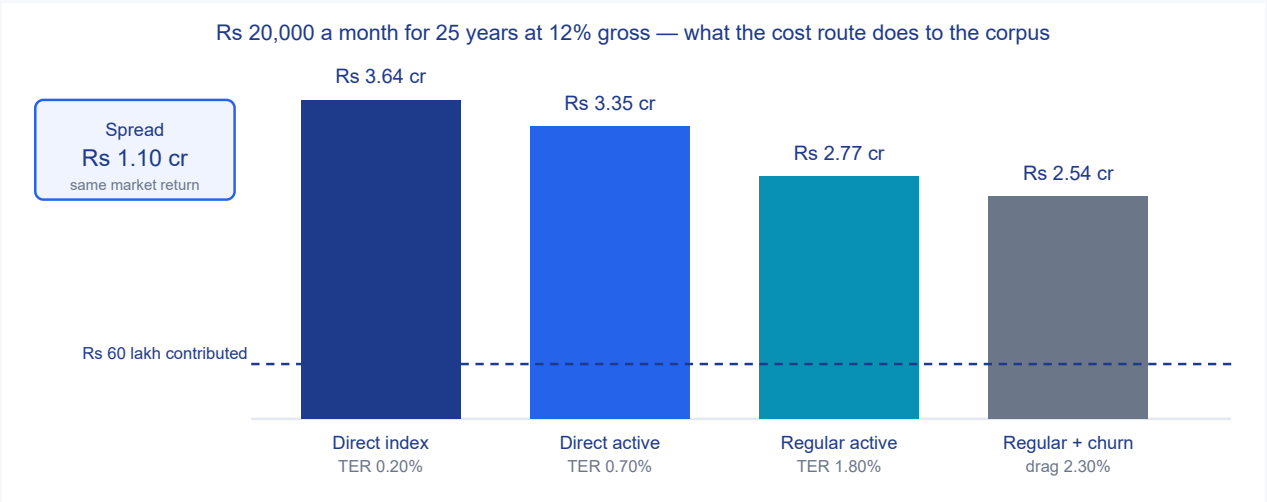
The other costs

Cost	When it applies	Typical level	Notes
Exit load	On redemption within a specified period	Commonly 1% if redeemed within 365 days for equity schemes; many debt schemes have none; liquid schemes have a graded load for redemption within 7 days	Set by the AMC, disclosed in the SID and factsheet. Paid into the scheme, so it benefits remaining unitholders. Check it before any switch.
Stamp duty	On every purchase and switch-in	0.005% of the amount invested (0.015% on transfer of units)	Applies since 1 July 2020. Trivial for a long-horizon investor; material for someone switching frequently or using very short-term liquid-fund parking. Verify at the relevant notification.
Securities Transaction Tax	On redemption or switch-out of **equity-oriented** schemes	0.001% of redemption value	Deducted by the AMC. Not applicable to debt schemes.
Transaction charge	Only on transactions routed through a distributor who has opted in, above a threshold investment amount	A small fixed rupee amount, deducted from the investment	Never applies to direct plans. Disclosed on the application.
Brokerage and demat charges	Only if you buy ETFs or hold funds in demat form	Broker-dependent; plus exchange charges, GST and depository charges	This is a real argument for index *funds* over ETFs for a monthly SIP investor — see section 7
Your own tax	On redemption, switch, or IDCW receipt	See section 15	Usually the largest single cost after TER for an investor who trades between schemes

A full cost comparison across three realistic routes

Route	Annual TER	Other annual costs	Total drag	₹20,000/month for 25 years at 12% gross
Direct-plan broad index fund	~0.20%	Nil	**~0.20%**	**₹3.64 crore**
Direct-plan actively managed equity fund	~0.70%	Nil	**~0.70%**	₹3.35 crore
Regular-plan actively managed equity fund	~1.80%	Nil	**~1.80%**	₹2.77 crore
Regular plan, switched between funds every three years	~1.80%	Exit load and capital gains tax on each switch, say 0.5% a year equivalent	**~2.30%**	₹2.54 crore

The spread between the best and worst route here is **₹1.10 crore** on identical contributions and identical gross market returns. None of it depends on skill, market timing or fund selection. It depends on three decisions — direct versus regular, passive versus active, and whether you churn — all of which you make once and can control completely.



Identical contributions, identical gross market returns. The entire difference is cost structure, and it is decided once.

A fair word for distributors and for advice

None of the above says advice is worthless. Good advice — the kind that stops you redeeming in a crash, gets your asset allocation right, ensures you are insured, and stops you buying a thematic fund at the top of a cycle — is worth far more than 1.1% a year. The argument is about the **payment structure**. A **SEBI-registered Investment Adviser (RIA)** charges you a stated fee and is legally required to act in your interest; they recommend direct plans and have no commission incentive. A distributor is paid by the AMC as a percentage of assets, so their income depends on which product you hold and how much. If you want advice, pay for it explicitly and keep the direct plans. The combination of an RIA fee plus direct plans is almost always cheaper than regular plans alone, and the incentives are aligned rather than conflicted.

SEBI's Fund Categorisation: The Complete Reference

Before October 2017 an Indian AMC could run twelve equity schemes with overlapping mandates and incomprehensible names. SEBI's categorisation circular fixed this: every open-ended scheme must fall into exactly one defined category, an AMC may run only one scheme per category (with limited exceptions), and each category has explicit, enforceable portfolio constraints. This is the single most useful piece of regulation for a fund investor, because it means a category name now carries real information.

Market capitalisation definitions

Equity categories depend on AMFI's market-cap classification, which is published twice a year based on average full market capitalisation over the previous six months, and which all AMCs must follow.

1–100	101–250	251+	2x/yr
LARGE CAP	MID CAP	SMALL CAP	LIST REVISED

Equity scheme categories

Category	Mandated portfolio constraint	Risk	What it is actually for
Multi Cap	Minimum 75% in equity, with a **minimum 25% each in large, mid and small cap**	High	Forced diversification across the size spectrum. The 25% small-cap floor makes this materially more volatile than a flexi cap.
Flexi Cap	Minimum 65% in equity, **no market-cap constraints**	High	Created in November 2020 when the multi-cap rules were tightened. The manager allocates freely across sizes — the most common "one-fund" equity choice.
Large Cap	Minimum 80% in large-cap stocks	High (least within equity)	Core exposure to India's largest companies. Also the category where active management has found it hardest to beat the index.
Large & Mid Cap	Minimum 35% large cap **and** minimum 35% mid cap	Very high	A structurally mid-cap-heavy blend
Mid Cap	Minimum 65% in mid-cap stocks	Very high	Companies ranked 101–250. Higher growth potential, materially deeper drawdowns.
Small Cap	Minimum 65% in small-cap stocks	Very high	Companies ranked 251 and beyond. Severe drawdowns and genuine liquidity risk in stressed markets — which is why SEBI mandated stress-test disclosure.
Dividend Yield	Minimum 65% equity, predominantly in dividend-yielding stocks	High	A value tilt. Note that the dividend itself is incidental; you are buying a style.

Value	Minimum 65% equity, following a value investment strategy	High	An AMC may offer **either** Value or Contra, not both
Contra	Minimum 65% equity, following a contrarian strategy	High	As above
Focused	Minimum 65% equity, **maximum 30 stocks**, with the market-cap focus stated	Very high	Concentration. Dispersion of outcomes within this category is wider than any other.
Sectoral / Thematic	Minimum 80% in the stated sector or theme	Very high	A single-sector bet. The **only** category not subject to the one-scheme-per-AMC rule, which is why AMCs launch so many of them, and why they appear in bulk after a sector has already run.
ELSS	Minimum 80% equity, **statutory three-year lock-in** on every instalment	High	The tax-saving equity category. See section 13 — its case has changed significantly under the new tax regime.

Debt scheme categories

Category	Mandated constraint	Interest-rate risk	Credit risk	Typical use
Overnight	Securities with 1-day maturity	Negligible	Negligible	Parking cash for days; the destination of an STP source
Liquid	Securities maturing within 91 days	Very low	Low	Emergency fund parking (part of it), short-term surplus
Ultra Short Duration	Macaulay duration 3–6 months	Low	Varies — read the portfolio	3–6 month horizons
Low Duration	Macaulay duration 6–12 months	Low	Varies	6–12 month horizons
Money Market	Money market instruments maturing within 1 year	Low	Low	Up to 1 year
Short Duration	Macaulay duration 1–3 years	Moderate	Varies	1–3 year goals
Medium Duration	Macaulay duration 3–4 years	Moderate to high	Varies — historically a category where credit risk was taken	3–4 years
Medium to Long Duration	Macaulay duration 4–7 years	High	Varies	Rate-cycle positioning
Long Duration	Macaulay duration above 7 years	Very high	Usually low (often G-Secs)	A view that rates will fall; also long-

				dated liability matching
Dynamic Bond	Invests across duration	Manager-determined, can be very high	Varies	Delegating the rate call to the manager. Track record dispersion is wide.
Corporate Bond	Minimum 80% in **AA+ and above** rated corporate bonds	Moderate	Low	The mainstream higher-quality corporate debt category
Credit Risk	Minimum 65% in **AA and below** (excluding AA+)	Moderate	**High**	Explicitly taking credit risk for yield. The category that suffered most in India's 2018–2020 credit events. Read the full portfolio holding by holding or do not invest.
Banking and PSU	Minimum 80% in debt of banks, public sector undertakings, public financial institutions and municipal bonds	Moderate	Low	Quality-constrained accrual
Gilt	Minimum 80% in government securities across maturities	High	**Nil sovereign credit risk**	No default risk, substantial price volatility. Many investors do not expect the volatility.
Gilt with 10-year constant duration	Minimum 80% G-Secs, portfolio duration held at 10 years	Very high	Nil	A pure, undiluted bet on long-end rates

Floater	Minimum 65% in floating-rate instruments	Low	Varies	Positioning for rising rates

Hybrid, solution-oriented and other categories

Category	Mandated constraint	Equity taxation?	Notes
Conservative Hybrid	10–25% equity, 75–90% debt	No	Debt-dominant. Taxed as a non-equity fund.
Balanced Hybrid	40–60% equity, 40–60% debt, **no arbitrage permitted**	Depends on actual equity level	An AMC may offer either Balanced Hybrid or Aggressive Hybrid, not both
Aggressive Hybrid	65–80% equity, 20–35% debt	**Yes**	The old "balanced fund". Equity taxation with a built-in debt cushion and automatic internal rebalancing that costs you no tax.
Dynamic Asset Allocation / Balanced Advantage	Equity and debt managed dynamically, 0–100%	Usually yes — most maintain 65%+ gross equity using arbitrage	The allocation model is the product. Models differ enormously between AMCs; read the SID to find out what actually drives the allocation.
Multi Asset Allocation	At least **three** asset classes, minimum 10% in each	Depends on the equity level — check	Typically equity, debt and gold. Taxation varies by scheme; this matters a great deal and is frequently not checked.
Arbitrage	Minimum 65% equity, following arbitrage strategies	**Yes**	Buys cash equity and sells the corresponding future, capturing the spread. Returns behave like short-term debt but are **taxed as equity**, which is the entire point. Returns depend on market spreads and can be poor in low-volatility periods.

Equity Savings	Minimum 65% equity (including arbitrage), minimum 10% debt	**Yes**	Typically ~30% directional equity, ~35% arbitrage, ~35% debt. Lower volatility than an aggressive hybrid, with equity taxation.
Retirement Fund	Lock-in of 5 years or until retirement age, whichever is earlier	Depends on the plan's equity level	Solution-oriented. The lock-in is the feature; whether you need it is a behavioural question.
Children's Fund	Lock-in of 5 years or until the child attains majority, whichever is earlier	Depends on equity level	As above. There is nothing structurally "for children" about the portfolio.
Index Funds / ETFs	Minimum 95% in the securities of the underlying index	Depends on the index — equity indices yes, debt indices no	See section 7
Fund of Funds	Minimum 95% in the underlying fund or funds	**Check carefully** — an FoF holding foreign equity is not an equity-oriented fund under Indian tax law	The vehicle for international exposure and for gold. Taxation changed materially; see section 15.

✦ **How to use the categorisation**

Pick the **category** first, from your asset allocation and horizon, and only then pick a scheme within it. This order prevents the most common error in fund selection, which is choosing a scheme because its recent return was high and then retro-fitting a justification. It also makes comparison honest: comparing a small-cap fund's three-year return against a large-cap fund's tells you about the market-cap cycle, not about either manager. **Compare within a category, against the category's own benchmark, over the same period.**

Debt Funds in Depth

Debt funds are widely sold as "safe" and widely misunderstood. They are not deposits, they carry two distinct and separable risks, their net asset value genuinely falls, and the tax treatment of most of them changed fundamentally in 2023. Used correctly they are

excellent instruments. Used as a fixed deposit substitute without understanding duration, they produce unpleasant surprises.

Where the return comes from

TEXT

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A DEBT FUND'S RETURN HAS THREE COMPONENTS

  1. ACCRUAL (coupon income)
     The interest the bonds pay. Predictable,
     always positive, accrues daily.

  2. MARK-TO-MARKET (price change)
     Bond prices move INVERSELY to yields. This
     component can be strongly negative.

  3. CREDIT EVENTS
     Downgrades reduce the valuation; defaults
     cause write-downs. Always negative when
     they occur.

  Total return = accrual + MTM + credit effects
                 - TER

THE FD COMPARISON, STATED CORRECTLY
  Fixed deposit: the bank promises a rate. The
  value never falls. Deposit insurance covers a
  prescribed amount per depositor per bank (verify
  the current limit at dicgc.org.in). Premature
  withdrawal attracts a penalty. Interest is taxed
  at slab, every year, on accrual, with TDS.

  Debt fund: no promise. NAV marked to market
  daily, and it can fall. No insurance. Usually no
  exit load after a short period. Tax deferred
  until you redeem - which for a long holding is
  a real and underrated advantage even after the
  2023 change removed indexation.
```

Interest-rate risk and duration, worked

TEXT

```
DURATION - THE NUMBER THAT MATTERS MOST

MACAULAY DURATION is the weighted average time to
receive a bond's cash flows, in years. SEBI defines
every debt fund category by it.

MODIFIED DURATION estimates price sensitivity:
  Modified duration = Macaulay duration / (1 + y)
  where y is the yield per period

  Approximate price change
    = - modified duration x change in yield

WORKED: A SHORT DURATION FUND
  Macaulay duration                  2.40 years
  Portfolio yield to maturity (YTM)      7.20%
  Modified duration = 2.40 / 1.072  =  2.239
  TER                                    0.35%

  SCENARIO A: yields rise 50 bps
    Price effect = -2.239 x 0.50%   = -1.12%
    Accrual over 1 year             = +7.20%
    Less TER                        = -0.35%
    APPROXIMATE 1-YEAR RETURN       = +5.73%

  SCENARIO B: yields rise 150 bps
    Price effect = -2.239 x 1.50%   = -3.36%
    Accrual + TER effect            = +6.85%
    APPROXIMATE 1-YEAR RETURN       = +3.49%

  SCENARIO C: yields FALL 100 bps
    Price effect = +2.239 x 1.00%   = +2.24%
    Accrual + TER effect            = +6.85%
    APPROXIMATE 1-YEAR RETURN       = +9.09%

WORKED: A LONG DURATION / GILT FUND
  Macaulay duration                   9.10 years
  Portfolio YTM                          7.05%
  Modified duration = 9.10 / 1.0705 =  8.501
  TER                                    0.45%

  SCENARIO A: yields rise 50 bps
    Price effect = -8.501 x 0.50%   = -4.25%
    Accrual - TER                   = +6.60%
    APPROXIMATE 1-YEAR RETURN       = +2.35%

  SCENARIO B: yields rise 150 bps
    Price effect = -8.501 x 1.50%   = -12.75%
```

```
    Accrual − TER                  =  +6.60%
    APPROXIMATE 1-YEAR RETURN      =  −6.15%
    *** A NEGATIVE YEAR IN A FUND WITH ZERO
        CREDIT RISK, HOLDING ONLY GOVERNMENT
        SECURITIES. ***

  SCENARIO C: yields FALL 100 bps
    Price effect = +8.501 x 1.00%   = +8.50%
    Accrual − TER                   = +6.60%
    APPROXIMATE 1-YEAR RETURN       = +15.10%

THE BREAKEVEN YIELD RISE
  How far can yields rise before a year's return
  turns negative?
    breakeven = (YTM − TER) / modified duration

  Short duration fund: 6.85 / 2.239 = 306 bps
  Long duration fund:  6.60 / 8.501 =  78 bps

  The long fund turns negative on a 78 basis point
  rise. The short fund needs a 306 basis point
  rise. THIS is the practical meaning of duration,
  and it is the single calculation to do before
  buying any debt fund.

CONVEXITY − the small correction
  The relationship is not perfectly linear: price
  rises slightly more than duration predicts when
  yields fall, and falls slightly less when yields
  rise. For retail purposes the linear estimate is
  close enough; just know the error is in your
  favour.

MATCH DURATION TO HORIZON
  The rule of thumb: choose a fund whose Macaulay
  duration is roughly equal to or below your
  investment horizon. Held for approximately the
  duration, interim price losses are offset by
  reinvestment at the new higher yields.
    6 months  → liquid / ultra short
    1 year    → low duration / money market
    2-3 years → short duration
    3-5 years → corporate bond / medium duration
    5+ years and willing to accept volatility
              → gilt or long duration
```

Credit risk

Rating band	Meaning	Typical yield pick-up over G-Sec	What can go wrong
Sovereign (G-Sec, SDL, T-bill)	Government of India or state government obligation	Baseline	No credit risk. Full interest-rate risk.
AAA	Highest safety	Small	A downgrade from AAA is rare but has occurred in India and causes immediate NAV impact
AA+ / AA / AA−	High safety	Moderate	Downgrade risk is real; liquidity in the secondary market thins quickly when sentiment turns
A and below	Adequate to inadequate safety	Large	**This is where credit risk funds operate.** Default and prolonged illiquidity. Recovery after default in Indian corporate debt has frequently been slow and partial.

✕ **Why credit risk in a fund is worse than credit risk in a single bond**

If you hold a bond directly and it defaults, you lose on that bond. If a **fund** you hold suffers a default, three things happen simultaneously: the NAV is written down; other investors redeem, forcing the manager to sell the *liquid* holdings first, which concentrates the remaining portfolio in the illiquid and impaired paper; and the investors who stay are left holding a worse portfolio than they started with. This reflexive dynamic — not the default itself — is what made India's 2018–2020 debt fund episodes so damaging. SEBI's responses (minimum liquid asset requirements, segregated portfolios, swing pricing for stressed conditions, potential risk class disclosure) reduce but do not eliminate it. **Before buying any debt fund, open the monthly portfolio disclosure and read every holding. If you are not willing to do that, restrict yourself to gilt, overnight, liquid and corporate bond categories.**

Accrual versus duration strategies

	Accrual strategy	Duration strategy
How it makes money	Holds bonds largely to maturity and earns the coupon	Takes a view on rates and profits from price movement
Typical categories	Corporate bond, banking and PSU, short duration, credit risk	Gilt, long duration, dynamic bond
Main risk	**Credit**	**Interest rate**
Return pattern	Steady and positive, punctuated by occasional sharp losses from credit events	Volatile both ways; can produce double-digit gains or losses in a year
Who it suits	An investor who wants bond-like returns with limited volatility and who has read the portfolio	An investor making a deliberate, informed call on the rate cycle, with a horizon long enough to wait out being wrong
Common mistake	Chasing the highest YTM in the category, which is simply a measure of how much credit risk is being taken	Buying a gilt fund expecting fixed-deposit-like stability

When a debt fund beats a fixed deposit, and when it does not

TEXT

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POST-2023: THE HONEST COMPARISON

The Finance Act 2023 removed indexation and the
concessional long-term rate for units of "specified
mutual funds" acquired on or after 1 April 2023.
Gains are treated as short-term and taxed at SLAB
rates regardless of holding period. The Finance
(No. 2) Act 2024 further revised the definition.
*** Verify the current position at
incometax.gov.in - this area has changed twice in
three years. ***

This removed the single biggest historical advantage
of debt funds over fixed deposits.

WORKED: Rs 10,00,000 for 5 years, 30% slab + cess
(effective 31.2%)

FIXED DEPOSIT at 7.00%, interest taxed yearly
  Post-tax rate = 7.00% x (1 - 0.312) = 4.816%
  Value after 5 years
    = 10,00,000 x 1.04816^5 = Rs 12,65,100

DEBT FUND returning 7.30% gross, TER 0.40%
  Net return 6.90%, NO tax until redemption
  Pre-tax value = 10,00,000 x 1.069^5
                = Rs 13,95,900
  Gain          = Rs  3,95,900
  Tax at 31.2% on redemption = Rs 1,23,500
  NET VALUE     = Rs 12,72,400

  ADVANTAGE TO THE DEBT FUND: Rs 7,300 over five
  years, or about 0.12% a year.

WHAT REMAINS OF THE DEBT FUND'S ADVANTAGE
  1. TAX DEFERRAL. An FD is taxed every year on
     accrual with TDS; a debt fund is taxed only
     on redemption. Over long horizons this
     compounding-on-untaxed-money effect is worth
     a few tenths of a percent a year, as above.
  2. LIQUIDITY without penalty. Most debt funds
     have no exit load after a short period; FDs
     charge a premature withdrawal penalty.
  3. CONTROL OF THE TAX YEAR. You choose when to
     realise, so you can redeem in a year when
     your income is lower.
  4. PARTIAL WITHDRAWAL. Redeem exactly what you
     need; an FD usually has to be broken in full
```

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     or in defined units.
  5. Potential for higher return if rates fall.

WHAT THE FD HAS
  1. CERTAINTY. The rate is contractual.
  2. DEPOSIT INSURANCE up to the DICGC limit.
  3. NO MARK-TO-MARKET. It never shows a loss.
  4. Simplicity.

HONEST CONCLUSION
  For a 30% taxpayer with a 3-5 year horizon, the
  two are now close, and the choice should turn on
  whether you value certainty or flexibility more.
  For a taxpayer in the lowest slab the FD is often
  simpler and perfectly adequate. The old
  "debt funds always beat FDs on tax" argument is
  obsolete and you should be suspicious of anyone
  still making it.

WHERE DEBT FUNDS REMAIN CLEARLY BETTER
  - Short-term parking (liquid/overnight) where an
    FD is impractical
  - The debt leg of an asset allocation that needs
    to be rebalanced, since switching within a
    fund house is operationally trivial
  - Arbitrage and equity savings funds, which get
    EQUITY taxation while behaving like short-term
    debt - see section 15. For a high-bracket
    taxpayer this is now often the better
    "debt-like" holding, with the caveat that
    arbitrage returns depend on market spreads.
```

Index Funds and ETFs

A passive fund does not try to beat an index; it tries to be one, as cheaply and accurately as possible. The idea is simple, the implementation is not, and the choice between an index fund and an exchange-traded fund has practical consequences in India that are often glossed over.

How replication works

Method	How	Used for	Trade-off
Full replication	Hold every constituent in exactly its index weight	Liquid large-cap indices with a manageable number of constituents	Most accurate; requires trading on every index rebalance and every corporate action
Optimised / stratified sampling	Hold a representative subset chosen to match the index's risk characteristics	Very broad indices, or indices containing illiquid constituents	Lower trading cost, higher tracking error
Synthetic (swap-based)	Use derivatives to obtain index returns	Rare in Indian retail mutual funds	Introduces counterparty risk

Tracking error versus tracking difference

TEXT

```
TWO DIFFERENT NUMBERS, ROUTINELY CONFUSED

TRACKING DIFFERENCE
  = fund return − index return, over a period
  This is what actually HAPPENS TO YOUR MONEY.
  It is normally NEGATIVE, and should be roughly
  equal to the TER plus transaction costs.

TRACKING ERROR
  = the standard deviation of the daily (or
    periodic) return differences, annualised
  This measures how CONSISTENTLY the fund tracks,
  not how much it lags. A fund could have zero
  tracking error and still lag by 1% a year.

WORKED
  Index total return, 1 year            +14.80%
  Fund A return                         +14.55%
    Tracking difference = −0.25%
    TER 0.20%, so −0.05% from other costs. Good.
  Fund B return                         +14.10%
    Tracking difference = −0.70%
    TER 0.20%. Where did the other 0.50% go?
    → cash drag, poor rebalance execution,
       securities lending not passed through,
       or high portfolio turnover costs.

WHAT TO ACTUALLY COMPARE
  1. TRACKING DIFFERENCE over 3 and 5 years, not
     tracking error. AMCs quote tracking error
     because it looks small.
  2. Against the TOTAL RETURN INDEX (TRI), which
     includes dividends. SEBI requires benchmarking
     against TRI. Comparing a fund against a price
     index flatters it by roughly the dividend
     yield.
  3. TER, which is the floor on the lag.

SOURCES OF TRACKING DIFFERENCE
  − TER                          (always)
  − Cash drag from inflows and
    dividend receipts awaiting
    reinvestment                 (always)
  − Rebalance trading costs at
    index reconstitution         (always)
  − Securities lending income    (reduces the lag)
  − Sampling, where used         (both directions)
```

Index fund versus ETF for an Indian SIP investor

	Index fund (open-ended scheme)	ETF (exchange-traded)
How you buy	From the AMC or an MF platform, at NAV	On NSE or BSE through a broker, at the market price
Account needed	Folio with the AMC; no demat required	**Demat and trading account required**
Price you pay	Exactly the day's NAV	The market price, which can differ from the indicative NAV (iNAV)
SIP	Native, automated, any rupee amount, fractional units	Awkward — whole units only, broker-dependent SIP facilities, each instalment is a market order
Costs	TER only (plus stamp duty)	Lower TER, **but** brokerage, exchange transaction charges, SEBI turnover fee, GST, stamp duty, STT on sale, demat charges, and the bid-ask spread on every purchase
Liquidity risk	None — the AMC creates and redeems units at NAV	**Real.** Many Indian ETFs outside the largest index trackers have thin on-screen volume.
Premium / discount	Not applicable	**The main practical problem in India.** See below.
Verdict for a monthly SIP investor	**Generally the better choice**, despite the slightly higher TER	Better for large lump sums where you can check the iNAV, place limit orders, and the spread is small relative to the amount

The iNAV premium and discount problem on Indian exchanges

An ETF's market price is set by supply and demand on the exchange and should track the indicative NAV closely, because authorised participants arbitrage any gap by creating or redeeming units. In India this arbitrage works well for the largest, most liquid ETFs and **poorly for the rest**. Thinly traded ETFs have repeatedly traded at meaningful premiums and discounts to iNAV, and the problem is worst exactly when you most want to transact — in a sharp market move, when spreads widen and market makers step back. There have been episodes of Indian ETFs trading several percent away from fair value intraday. **Practical rules: always check the iNAV published on the AMC and exchange websites before trading; always use limit orders, never market orders; never place an ETF order in the first or last fifteen minutes of the session; and check the average daily traded value before choosing an ETF at all.** An index fund avoids every one of these problems because you transact at NAV with the AMC.

The main Indian index families

Index type	What it covers	Notes for an investor
Broad large-cap (50, 100)	The largest listed companies by free-float market capitalisation	The most liquid, cheapest and most widely tracked. Also the segment where active management has found it hardest to add value.
Broad market (200, 500, Total Market)	Progressively wider coverage down the size spectrum	A 500-stock index gives close to whole-market exposure in one holding. Tracking is harder and TER is usually slightly higher.
Mid-cap and small-cap indices	The 101–250 and 251+ bands	Passive tracking is operationally harder here because of liquidity and impact cost. Tracking difference is wider. This is also where the active-versus-passive evidence is least one-sided.
Next 50	The companies ranked just below the largest 50	A distinct risk profile — historically more volatile than the headline large-cap index
Sectoral and thematic indices	Banking, IT, pharma, infrastructure, consumption and so on	Passive implementation of a concentrated bet. The vehicle is cheap; the bet is not diversified.
Factor and smart-beta indices	Low volatility, momentum, quality, value, alpha, and multi-factor combinations	Rules-based active management sold at near-passive prices. See below.
Debt indices	Target-maturity G-Sec, SDL and PSU bond indices with a defined maturity date	Target-maturity index funds give a defined maturity and a reasonably predictable return if held to maturity, with much lower credit risk than an active credit fund. A genuinely useful innovation.
International	Global and US indices, accessed through fund-of-funds or feeder structures	Note the RBI overseas investment limits that have periodically caused Indian AMCs to **suspend fresh subscriptions** into international schemes. Check whether a scheme is accepting inflows before planning an SIP into it. Taxation differs from domestic equity funds — see section 15.

Smart beta and factor funds, honestly

A factor fund applies a published, rules-based screen — low volatility, momentum, quality, value — and rebalances mechanically. The academic evidence for factor premia is real, including in Indian data. Three caveats that are rarely stated. **One:** factor premia are cyclical and can underperform the broad market for five years or more, which is longer than most investors will hold. **Two:** index construction choices — the screening rules, the weighting, the rebalance frequency — matter enormously, and two "momentum" indices can behave very differently. **Three:** higher turnover means higher transaction costs and wider tracking difference than a plain market-cap index. These are legitimate instruments, but they are **active bets implemented passively**, not a free improvement on an index fund, and they should be judged as active decisions.

Active Versus Passive — What the Evidence Actually Shows

This is the most argued-about question in fund investing and one of the few where real, systematic, independently produced evidence exists for India specifically. The honest conclusion is neither "active management is pointless" nor "India is different because it is an inefficient market". It is more nuanced than either slogan, and it varies sharply by category.

The arithmetic that comes before any data

TEXT

```
THE ARITHMETIC OF ACTIVE MANAGEMENT
(this part is not an empirical claim; it is
 definitionally true)

All investors in a market collectively hold the
market. Therefore:

  Average return of all investors, BEFORE costs
    = market return

  Average return of all investors, AFTER costs
    = market return − average costs

Passive investors hold the market at low cost.
Therefore the AVERAGE actively managed rupee must,
by construction, earn:

  market return − (active costs − passive costs)

Active equity funds in India charge roughly 0.5% to
1.2% in direct plans and 1.5% to 2.1% in regular
plans. A broad index fund charges roughly 0.1% to
0.3%. So the average active rupee starts each year
roughly 0.4% to 1.8% behind.

THIS IS NOT A CRITICISM OF FUND MANAGERS. It is
arithmetic. Some managers will beat the index; by
the same arithmetic, the shortfall of the losers
must exceed the excess of the winners by the cost
difference. The questions that remain empirical
are:
  (a) HOW MANY beat the index, and by how much?
  (b) Is outperformance PERSISTENT, so that past
      winners can be identified in advance?
  (c) Does the answer differ by category?
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What the SPIVA India scorecards show

S&P Dow Jones Indices publishes the **SPIVA India Scorecard** twice a year. It compares every active fund in a category against the appropriate S&P BSE benchmark on a **total return** basis, and critically it corrects for **survivorship bias** by including funds that were merged or closed during the period. It is the most rigorous public source on this question for India and it is free.

Category	Approximate share of active funds underperforming the benchmark over 10 years	Direction of the evidence
Indian Equity Large-Cap	Typically a **large majority** — recent scorecards have placed this in the region of two-thirds to nine-tenths depending on the period measured	The passive case is **strongest** here and has strengthened over time
Indian ELSS	Typically a **majority**, somewhat lower than large-cap	Passive case strong, slightly less so
Indian Equity Mid-/Small-Cap	Typically a **majority**, but historically the **lowest** underperformance rate of the equity categories over long horizons	The active case is **least weak** here — though "least weak" still means most funds lagged
Indian Composite Bond	Typically a **large majority** underperforming over long horizons	Passive case strong; debt fund costs are a large fraction of debt returns
Indian Government Bond	Typically a **large majority**	Passive case strong

⚠ **Do not quote these figures without checking the current scorecard**
The exact percentages move substantially between scorecards — a single strong or weak year for a style can swing a ten-year figure by double digits, and the numbers differ between the one-, three-, five- and ten-year windows. **The directional findings above have been robust across many editions; the specific numbers have not.** Download the current SPIVA India Scorecard from **spglobal.com/spdji** before relying on any figure, and read the methodology section, which explains the survivorship-bias correction and the asset-weighted versus equal-weighted distinction.

The three biases that make raw fund comparisons misleading

Bias	How it distorts	Magnitude
Survivorship bias	Poorly performing funds are merged into better ones or closed. Any analysis of "funds available today" excludes them, which inflates the apparent performance of the category.	Substantial. A meaningful fraction of Indian equity funds that existed ten years ago no longer exist as separate schemes. SPIVA explicitly corrects for this; most marketing material does not.
Benchmark bias	Comparing against a **price** index rather than a **total return** index understates the benchmark by roughly its dividend yield each year.	Roughly 1–1.5% a year in India. SEBI mandated TRI benchmarking in 2018 precisely because this was being exploited.
Equal-weighted versus asset-weighted	Counting each fund once treats a ₹200 crore scheme the same as a ₹40,000 crore one. Asset-weighting answers the question "how did the average *rupee* do", which is the question an investor should care about.	Can be several percentage points. Both numbers are useful; know which one you are reading.

Does outperformance persist?

TEXT

THE PERSISTENCE QUESTION

Even if some funds beat the index, that is only useful if you can identify them IN ADVANCE. The standard test: take the funds in the top quartile in one period, and see where they rank in the next.

If performance were purely random, you would expect 25% of top-quartile funds to remain in the top quartile.

S&P's Persistence Scorecards for India, and the equivalent studies for other markets, have repeatedly found that the share of top-quartile funds remaining top-quartile over successive multi-year periods is LOW - frequently at or BELOW what chance alone would produce.

Over longer horizons, the share of funds that stay in the top quartile across three or four consecutive periods typically falls to a very small number.

WHAT THIS MEANS IN PRACTICE

Selecting a fund because it was a top performer over the last three years has, on the evidence, close to no predictive value for the next three. This is why section 10 ranks past returns NEAR THE BOTTOM of the fund selection criteria, which is the opposite of how funds are marketed and how star ratings are constructed.

WHY PERSISTENCE IS SO WEAK - three mechanisms

1. MEAN REVERSION OF STYLE. A fund that outperformed did so partly because its style (value, momentum, small-cap tilt, a sector overweight) was in favour. Styles revert.
2. ASSET GROWTH. Success attracts inflows. A strategy that worked at Rs 2,000 crore may not work at Rs 40,000 crore, because the manager can no longer take meaningful positions in smaller companies without moving prices. Many successful Indian small- and mid-cap funds have restricted or suspended lump-sum inflows for exactly this reason.
3. COSTS AND COMPETITION. Skill is common and the market is competitive; the excess return available is small relative to the fee.

Why the large-cap passive case is stronger than the small-cap one

LARGE CAPS

Around 100 companies, covered by dozens of analysts each, with high liquidity, constant news flow and institutional dominance. Information advantages are nearly impossible to find, and a 1% fee is a large hurdle against a market where mispricing is small. **The passive case is strong and the evidence supports it.**

SMALL CAPS

Hundreds of companies, many with little or no analyst coverage, far less institutional participation, and genuine information gaps. There is more scope for skill. **But** there is also more scope for disaster, impact costs are high, capacity constrains the winners, and the dispersion of outcomes between managers is enormous. Even here, most funds have lagged over long horizons.

DEBT

Gross returns are low, so costs are a large fraction of them. A 0.8% TER against a 7% gross return is 11% of the return. Active debt managers who add value do so largely by taking credit or duration risk, which you could choose to take directly and more cheaply. **The passive and low-cost case is strong.**

INTERNATIONAL

The most developed markets are the most efficient and the most heavily indexed. Access costs for an Indian investor are higher, and RBI limits can suspend inflows. A low-cost index-tracking feeder or fund of funds is the straightforward route.

The balanced conclusion

- ☐ **The arithmetic is not in dispute.** The average active rupee must underperform the market by the cost difference. This is definitional, not empirical.
- ☐ **The Indian evidence is consistent with the arithmetic** and is strongest against active management in large-cap equity and in debt.

- ☐ **Persistence of outperformance is weak**, which means past returns are a poor basis for selection — and past returns are exactly what most investors and most star-rating systems select on.
- ☐ **Some managers do add value** and some have done so over long periods. The problem is identifying them in advance, not whether they exist.
- ☐ **Costs are the one controllable variable.** Using direct plans removes 0.5–1.3% a year with certainty and no trade-off whatsoever. This is a larger and more reliable improvement than most fund selection decisions.
- ☐ **A defensible position:** a low-cost passive core for large-cap and broad-market exposure, with any active exposure deliberately limited to categories where the evidence is least unfavourable, chosen on process and cost rather than on recent returns, and reviewed against the category benchmark rather than against other funds.
- ☐ **An equally defensible position:** an entirely passive portfolio of two or three broad index funds. It is simpler, cheaper, requires no manager monitoring, and removes an entire category of decision from your life. The evidence does not say you are giving up anything you could reliably have captured.
- ☐ **What is not defensible** is paying 2% in a regular plan for a fund chosen because it had the highest three-year return, held for eighteen months, and then replaced with the new top performer. That combines the highest costs with the weakest selection criterion and the worst behaviour.

SIP, STP, SWP and Lump Sum

A Systematic Investment Plan is an instruction to a bank, not an investment strategy. It is extremely valuable, but for behavioural reasons rather than the mathematical ones usually claimed. This section sets out the mechanics precisely and then examines rupee cost averaging honestly, including the cases where it costs you money.

The four mechanisms

Mechanism	What it does	Typical use
SIP — Systematic Investment Plan	A fixed amount invested into a scheme at a fixed interval from your bank account	Accumulating from monthly income
STP — Systematic Transfer Plan	A fixed amount moved periodically from one scheme to another **within the same AMC**	Deploying a lump sum gradually. Park in a liquid or arbitrage fund, transfer to equity over 6–24 months.
SWP — Systematic Withdrawal Plan	A fixed amount redeemed periodically and credited to your bank account	Generating regular income in retirement, far more tax-efficiently than IDCW
Lump sum	A single purchase	Deploying a bonus, a maturity, or a windfall

⚠ **An STP is a redemption**
Every STP instalment is a redemption from the source scheme and a purchase in the target. That means it is a **taxable event** and may attract an exit load in the source scheme. Transferring from a liquid fund is usually immaterial because gains are small; transferring out of an equity fund that has appreciated is not. Check both tax and exit load before setting up an STP, and note that STP is only available between schemes of the **same AMC**.

Mandates and the mechanics of an SIP

1. **Register the mandate**
   An e-mandate (NACH) or UPI AutoPay authorisation permitting the AMC or RTA to debit your account up to a stated maximum amount. Registration takes a few business days; the first instalment may be debited manually.

2. **Choose the date and frequency**
   Monthly is standard; weekly, fortnightly, quarterly and daily options exist.
   The date does not matter
   — studies of SIP date selection across long periods show no meaningful difference, and anyone selling you an "optimal SIP date" is selling noise. Pick a date two to three days after your salary credit so the debit never fails.

3. **Understand the NAV date**

Units are allotted at the NAV of the day on which funds are **realised** in the scheme account, subject to the cut-off. For a monthly SIP this means the allotment date may be a day or two after the debit date. Over 300 instalments this is irrelevant.

4 **Set the tenure**

Many platforms default to a fixed number of years. **Choose perpetual or the longest available tenure** and stop it deliberately when you want to, rather than having it lapse silently at a point you have forgotten about. A lapsed SIP is a surprisingly common and entirely avoidable problem.

5 **Consider a step-up**

An annual increase of 5–10% in the instalment, matched to salary growth. The compounding effect is large — see the worked example below.

6 **Keep the bank balance funded**

A failed debit may attract a bank charge and, after repeated failures, the SIP registration may be cancelled.

Rupee cost averaging, examined honestly

TEXT

WHAT RUPEE COST AVERAGING ACTUALLY DOES

By investing a FIXED RUPEE amount, you buy more units when the NAV is low and fewer when it is high. Your average cost per unit is therefore the HARMONIC mean of the NAVs, which is always less than or equal to the ARITHMETIC mean.

That is a real mathematical property. It is also a SMALL one, and it is routinely oversold.

CASE 1 – A FALLING-THEN-RISING MARKET
SIP of Rs 10,000 a month for 12 months

Month	NAV	Units bought
1	100	100.000
2	94	106.383
3	88	113.636
4	82	121.951
5	90	111.111
6	96	104.167
7	86	116.279
8	92	108.696
9	104	96.154
10	110	90.909
11	106	94.340
12	112	89.286
		————
Total units		1,252.912

Total invested Rs 1,20,000
Value at NAV 112 = 1,252.912 x 112
= Rs 1,40,326
Return = +16.9%

Arithmetic mean NAV = 1,160/12 = 96.67
SIP average cost = 1,20,000/1,252.912
= 95.78
ADVANTAGE OF HARMONIC OVER ARITHMETIC = 0.93%

LUMP SUM of Rs 1,20,000 at month 1 (NAV 100)
= 1,200 units → value 1,200 x 112
= Rs 1,34,400, return +12.0%

SIP WINS by Rs 5,926. Correct – because the market fell before it rose.

CASE 2 – A STEADILY RISING MARKET
Same SIP, NAVs rising 4 per month from 100 to 144

```
  Total units bought             996.503
  Total invested             Rs 1,20,000
  Value at NAV 144 = 996.503 x 144
                   = Rs 1,43,496,  return +19.6%

  LUMP SUM of Rs 1,20,000 at NAV 100
    = 1,200 units → value 1,200 x 144
    = Rs 1,72,800,  return +44.0%

  LUMP SUM WINS by Rs 29,304 – a gap more than
  five times the size of the SIP's advantage in
  Case 1.

THE HONEST CONCLUSION
  Markets rise more often than they fall. Over long
  periods, equity markets trend upward. Therefore
  staggering a lump sum over time will, MORE OFTEN
  THAN NOT, produce a lower return than investing
  it immediately. The research on this – conducted
  across many markets and long periods – is
  consistent: immediate investment beats
  cost-averaging a lump sum roughly two-thirds of
  the time, with the margin growing with the
  staggering period.

SO WHY DO AN SIP AT ALL? Four genuinely good
reasons, NONE of which is rupee cost averaging:

  1. YOU DO NOT HAVE A LUMP SUM. If you earn
     monthly and invest monthly, the lump-sum
     comparison is irrelevant. This describes
     almost every salaried investor, and it is
     the real reason SIPs dominate in India.
  2. IT REMOVES THE DECISION. The single largest
     destroyer of investor returns is the decision
     not to invest, repeatedly, while waiting for
     a better entry. An automated mandate defeats
     procrastination and market timing in one
     instruction.
  3. IT REDUCES REGRET AND THEREFORE ABANDONMENT.
     Deploying a large lump sum a week before a
     20% fall is psychologically devastating and
     frequently causes people to exit at the
     bottom. Staggering produces a lower expected
     return and a higher probability that you are
     still invested in three years. For most
     people that trade is worth making.
  4. IT ENFORCES SAVING. The money leaves before
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    you can spend it.

HOW TO DEPLOY AN ACTUAL LUMP SUM
  The evidence favours investing it at once. If
  that is psychologically impossible - and for
  most people it is - use an STP over 6 to 12
  months and accept that you are paying a small
  expected return for a large reduction in regret
  risk. Beyond about 12 months the cost starts to
  outweigh the benefit. Do NOT stagger over three
  years waiting for a correction.
```

Step-up SIP: the largest easy improvement available

TEXT

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STEP-UP (TOP-UP) SIP - WORKED
25 years, 12% annual return, monthly investment

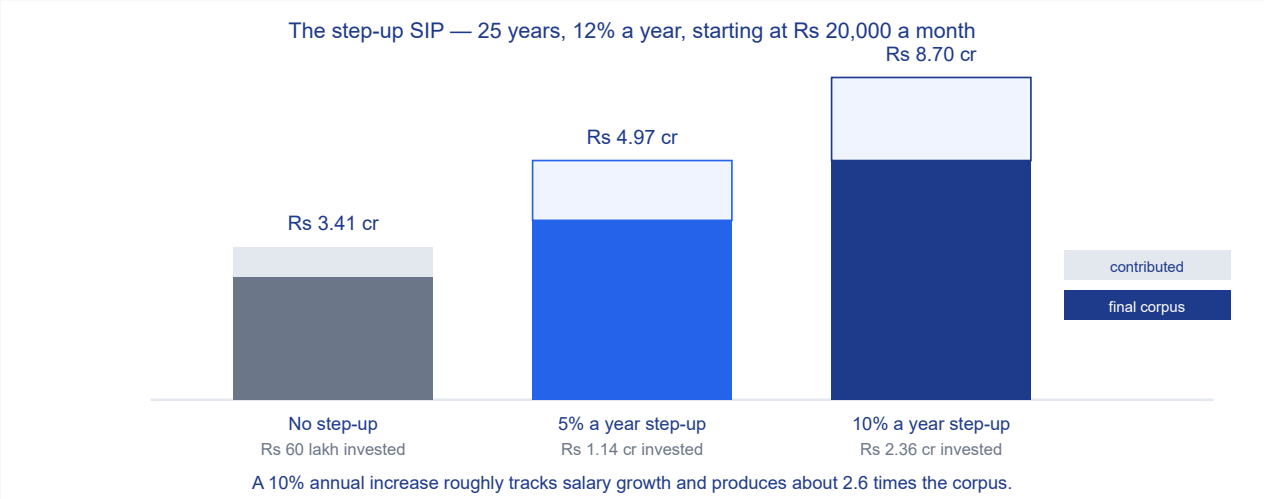
  PLAIN SIP: Rs 20,000 a month, never increased
    Total invested        Rs   60,00,000
    Final value           Rs 3,41,00,000 (approx)

  STEP-UP SIP: Rs 20,000 a month, increased 10%
  every year
    Year 1 instalment     Rs 20,000
    Year 5 instalment     Rs 29,282
    Year 10 instalment    Rs 47,159
    Year 15 instalment    Rs 75,937
    Year 20 instalment    Rs 1,22,268
    Year 25 instalment    Rs 1,96,874
    Total invested        Rs 2,36,00,000 (approx)
    Final value           Rs 8,70,00,000 (approx)

  A 10% annual step-up roughly matches typical
  salary growth, so it does not feel like a
  sacrifice. The final corpus is approximately
  2.6 TIMES the plain SIP.

  WITH A 5% STEP-UP (more conservative)
    Total invested        Rs 1,14,00,000 (approx)
    Final value           Rs 4,97,00,000 (approx)
    → 46% more than the plain SIP

  The lesson is blunt: for a young investor, the
  CONTRIBUTION RATE matters far more than fund
  selection. Moving from a plain SIP to a 10%
  step-up is worth vastly more than any plausible
  outperformance from picking a better fund, and
  it is entirely within your control.
```



For a young investor the contribution rate dominates fund selection, and it is entirely under your control.

The SIP mistake that actually costs money

Not the date you choose, not the fund you choose — **stopping during a drawdown.** An SIP running through a market fall is buying units cheaply, which is precisely when the mechanism works. Stopping at the bottom and restarting after the recovery converts the one genuine advantage of a monthly investment into its opposite: you bought expensively and skipped the cheap period. AMFI data on SIP discontinuation shows closures rising during market stress, which means a large number of Indian investors do exactly this. **Write down, now, while markets are calm, that you will not stop your SIP in a falling market. That single pre-commitment is worth more than everything else in this guide.**

SWP for income, worked

TEXT

```
SWP vs IDCW FOR Rs 50,000 A MONTH OF INCOME
Corpus Rs 1,00,00,000 in an equity fund, investor
in the 30% slab. All figures FY 2025-26 rules -
verify at incometax.gov.in.

OPTION A: IDCW PAYOUT of Rs 6,00,000 a year
  Entire Rs 6,00,000 is taxable at slab
  Tax at 31.2%            = Rs 1,87,200
  NET IN HAND             = Rs 4,12,800
  Plus TDS under s.194K deducted at source on
  payouts above the threshold.

OPTION B: SWP of Rs 50,000 a month from GROWTH
  Suppose the corpus has an embedded gain of 40%,
  so each redemption is 40% gain and 60% capital.
  Annual withdrawal         Rs 6,00,000
  Gain component (40%)      Rs 2,40,000
  Capital component         Rs 3,60,000  - NOT taxed
  LTCG exemption            Rs 1,25,000
  Taxable LTCG              Rs 1,15,000
  Tax at 12.5%              Rs   14,375
  NET IN HAND               Rs 5,85,625

  ADVANTAGE OF SWP: Rs 1,72,825 a year, on
  identical cash in hand before tax.

  Over 20 years of retirement that difference,
  reinvested, is a very large number.

CAVEATS
  - Units redeemed must be over 12 months old for
    equity LTCG treatment; SWP works on FIFO, so
    start the SWP at least a year after the last
    purchase.
  - The gain proportion rises over time as the
    corpus appreciates, so the tax grows.
  - An SWP rate above the portfolio's return
    depletes the capital. A commonly cited
    sustainable rate for a long retirement is in
    the region of 3-4% of the starting corpus,
    inflation-adjusted - but that depends entirely
    on asset allocation, horizon and sequence of
    returns, and belongs in a retirement-planning
    discussion rather than this one.
```

Asset allocation, safe withdrawal rates and the behavioural framing behind all of this are covered in the investing foundations guide.

Choosing a Fund Without Falling for Star Ratings

Almost every fund selection process in common use starts with past returns or a star rating, which is also what the persistence evidence in section 8 says is nearly worthless as a predictor. Here is a process that puts the predictive factors first and the unpredictive ones last.

The order that matters

#	Criterion	Why it ranks here	How to check
1	**Category**	Determines perhaps 80–90% of your outcome. Choosing between a small-cap and a large-cap fund matters far more than choosing between two large-cap funds.	Derive it from your asset allocation and horizon, not from recent category performance
2	**Direct plan**	A certain 0.5–1.3% a year, with no trade-off of any kind. Larger and more reliable than any plausible selection alpha.	Scheme name must contain "Direct"
3	**Cost (TER)**	The only variable known in advance that is guaranteed to apply. Within a category, lower cost is one of the few characteristics with documented predictive power for future relative returns.	Latest factsheet and the AMC's daily TER disclosure. Compare against the category median.
4	**Mandate consistency**	A fund that does what it says allows you to control your own asset allocation. One that drifts makes your portfolio unknowable.	Twelve monthly portfolio disclosures. Does a large-cap fund stay 80%+ large cap? Does a "value" fund hold value stocks? Has the stated strategy survived a manager change?
5	**Risk metrics**	Tells you what you will experience, not just what you will earn. Most investors exit because of the experience.	See the table below. Compare against the category, not in isolation.
6	**Portfolio overlap**	Owning five funds that hold the same thirty stocks is diversification theatre at four	See section 12

		times the cost of an index fund.	
7	**AUM appropriateness**	Too small risks a merger or closure; too large constrains a small- or mid-cap strategy	See below
8	**Fund manager tenure and team depth**	A track record belongs to the manager who produced it. A three-year record under a manager who left last year is not a record.	Factsheet; the AMC's disclosure of manager changes
9	**AMC quality**	Process depth, risk management, history of credit events, whether the AMC closes a fund to inflows when capacity is reached	Judgement, informed by history
10	**Past returns**	**Last, deliberately.** Weak persistence makes this close to uninformative for selection — though it is useful for *verification*: a fund that has lagged its benchmark for five years needs explaining.	Rolling returns, not point-to-point. Always against the TRI benchmark.

Risk metrics, defined and worked

TEXT

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RISK METRICS FOR A HYPOTHETICAL EQUITY FUND
over 5 years, against its TRI benchmark.
Risk-free rate assumed 6.8%.

  Fund annualised return                    14.20%
  Benchmark annualised return               13.40%
  Fund standard deviation (annualised)      16.80%
  Benchmark standard deviation              15.90%
  Downside deviation                        11.20%
  Beta vs benchmark                          1.04
  Maximum drawdown                         -34.60%
  Benchmark maximum drawdown               -32.10%

STANDARD DEVIATION
  The dispersion of returns. 16.80% means that in
  roughly two years out of three, the annual return
  fell within 14.20% +/- 16.80%, i.e. between
  -2.6% and +31.0%. That is the RANGE OF EXPERIENCE
  you are signing up for.

BETA = 1.04
  For every 1% the benchmark moves, the fund has
  moved about 1.04%. Slightly more volatile than
  the index. A beta materially below 1 in an equity
  fund usually means a large cash position or a
  defensive tilt.

SHARPE RATIO
  = (fund return - risk-free) / standard deviation
  = (14.20 - 6.80) / 16.80
  = 7.40 / 16.80  =  0.44
  Benchmark: (13.40 - 6.80) / 15.90 = 0.42
  → marginally better return per unit of total
     volatility. A difference of 0.02 is noise.

SORTINO RATIO
  = (fund return - risk-free) / downside deviation
  = 7.40 / 11.20  =  0.66
  Uses only DOWNSIDE volatility, on the sensible
  view that upside volatility is not a risk. More
  informative than Sharpe for an asymmetric
  strategy.

MAXIMUM DRAWDOWN = -34.6%
  *** THE MOST USEFUL SINGLE NUMBER ON THIS LIST
      FOR A RETAIL INVESTOR. ***
  On a Rs 20,00,000 holding, a 34.6% drawdown is a
  paper loss of Rs 6,92,000. Ask yourself, in
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  rupees, before you invest: will I continue the
  SIP at that point? If the honest answer is no,
  you are in the wrong category, and no amount of
  fund selection will fix that.

CAPTURE RATIOS
  Upside capture   = fund return in up months
                     / benchmark return in up months
  Downside capture = same, for down months

  Example: upside 97%, downside 88%
  → the fund captured 97% of the market's gains
     and only 88% of its falls. That combination is
     what good active management actually looks
     like, and it is more informative than the
     headline return.

  Example: upside 112%, downside 118%
  → the fund is simply a leveraged version of the
     index. Its outperformance in a bull market
     tells you nothing about skill.

ALPHA
  The return not explained by market exposure.
  Quoted widely, unstable statistically, and
  heavily dependent on the benchmark chosen and
  the period measured. Treat with scepticism.
```

Rolling returns, not point-to-point

TEXT

WHY POINT-TO-POINT RETURNS MISLEAD

"5-year return: 18.4%" means the return from one specific start date to one specific end date. Change either date by three months and the number can move by several percentage points, because both endpoints sit somewhere in a market cycle.

ROLLING RETURNS fix this. Compute the 5-year return starting from EVERY day (or month) in the period, then look at the distribution.

HYPOTHETICAL FUND - 5-year rolling returns measured over a 10-year history:

Number of 5-year windows	1,240
Average	13.80%
Median	13.20%
Minimum	4.10%
Maximum	24.60%
% of windows beating the benchmark	58%
% of windows with a negative return	0%
% of windows below 8%	14%

THIS tells you something. "58% of five-year windows beat the benchmark" is a far more honest statement than "the fund returned 18.4% over five years", and the minimum of 4.1% tells you what a bad five-year stretch looked like.

Most Indian fund platforms now offer rolling return charts. Use them. If a platform only shows point-to-point returns, it is showing you the least informative version of the data.

AUM: too small and too large

Situation	Problem	Rough guidance
Very small AUM	Fixed costs are spread over a small base, so TER sits at the top of the slab. Risk of merger or wind-up. A single large redemption can force selling.	Be cautious below a few hundred crore in an equity scheme, unless the scheme is new from a credible AMC with a clear mandate
Very large AUM in a small-cap or mid-cap fund	**Capacity constraint.** A ₹40,000 crore small-cap fund cannot hold meaningful positions in genuinely small companies without owning a large share of them and being unable to exit. It drifts up the market-cap spectrum and becomes a de facto mid- or large-cap fund with a small-cap label and fee.	Check the actual market-cap composition in the monthly portfolio, not the category label. Also check the SEBI-mandated **stress test disclosure**, which states how many days it would take to liquidate 25% and 50% of the portfolio.
Very large AUM in a large-cap or index fund	Generally **not** a problem — large caps are liquid, and scale lowers TER	Scale is an advantage here
Inflows restricted or suspended	Usually a **good** sign: the AMC is prioritising existing unitholders over asset gathering	Several Indian small-cap funds have limited lump-sum inflows for exactly this reason. Note it as a positive signal about the AMC's incentives.

✕ **Why star ratings are structurally unreliable**

Most star-rating systems rank funds within a category on a risk-adjusted measure of **past** returns over three, five and ten years, re-scored periodically. Three consequences follow. **One:** they measure the thing with the weakest documented persistence. **Two:** they are mechanically backward-looking, so ratings *change* after performance changes — a fund gets downgraded after it has already underperformed, which is exactly when selling is most likely to be wrong. **Three:** a five-star rating in a category that has just had a spectacular run reflects the category's cycle rather than the manager. Ratings are a convenient filter for narrowing a list; they are not a selection criterion, and buying the five-star fund in last year's hottest category is the single most expensive habit in Indian retail fund investing.

Reading a Factsheet and a Scheme Information Document

Two documents tell you everything a fund is contractually permitted to do and everything it is currently doing. The monthly factsheet is short and you should read it for every fund you hold. The Scheme Information Document is long and you should read it once, before you invest.

The monthly factsheet, section by section

Section	What it contains	What to actually look for
Scheme details	Category, inception date, benchmark, fund manager and tenure, minimum investment, exit load	**Manager tenure** against the period of the track record being advertised. Benchmark must be a **Total Return Index**.
AUM and AAUM	Month-end and monthly average assets	Trend over twelve months. Rapid growth in a small- or mid-cap fund is a capacity warning; rapid shrinkage suggests redemptions.
TER	Separate figures for direct and regular plans	Compare against the category median. The **gap** between the two plans is the trail commission you avoid by going direct.
Portfolio holdings	Every security with its weight; usually the full list is in a separate monthly disclosure	**Top-10 concentration.** Above roughly 45–50% in ten names is a concentrated fund whatever the category says. Also check cash: a persistent 15%+ cash position means you are paying equity fees on money that is not invested.
Market-cap allocation	Large, mid and small cap percentages	**Mandate drift.** A "large cap" fund at 79% large cap is at the regulatory edge. A small-cap fund at 40% mid cap is not doing what its label says.
Sector allocation	Weights by sector, usually against the benchmark	Active sector bets. A fund 15 points overweight financials is making a large macro call; you should know that you own it.
Credit quality table (debt funds)	Allocation across sovereign, AAA, AA+, AA, A and below, and unrated	**The single most important table in a debt factsheet.** It tells you where the yield is coming from.
YTM, average maturity, Macaulay and modified duration (debt funds)	Portfolio yield and interest-rate sensitivity	Run the breakeven calculation from section 6. A YTM far above the category average means credit risk, not skill.

Potential Risk Class matrix (debt funds)	A SEBI-mandated 3×3 grid positioning the scheme on credit risk and interest-rate risk	An excellent, standardised, at-a-glance summary. Use it.
Riskometer	Six levels from Low to Very High, reviewed and disclosed monthly	Useful as a coarse filter. Note that **almost every equity fund is "Very High"**, so it does not differentiate much within equity. Changes to the riskometer level must be communicated to unitholders.
Performance table	Returns over standard periods against the benchmark and an additional benchmark, plus SIP returns	Only the **benchmark-relative** column matters. Also check the performance of *other schemes managed by the same manager*, which SEBI requires to be disclosed.
Quantitative ratios	Standard deviation, beta, Sharpe, portfolio turnover	**Portfolio turnover** is underused: 250% turnover means the portfolio is replaced roughly two and a half times a year, generating transaction costs borne by you and inconsistent with any claim of long-term investing.

The Scheme Information Document

- ☐ **Investment objective and asset allocation table** — the contractual minimum and maximum for each asset class. This is what the fund is *permitted* to do, which can be much wider than what it currently does.
- ☐ **Where the scheme will invest** — including whether it may use derivatives, invest overseas, engage in securities lending, or invest in units of other schemes.
- ☐ **Investment strategy** — the stated process. Compare it against the actual portfolio. Vagueness here is itself information.
- ☐ **Risk factors** — scheme-specific risks beyond the standard ones. Read the section on **segregated portfolios** for any debt scheme.
- ☐ **Fees and expenses** — the TER structure, exit load, and any transaction charge.
- ☐ **Benchmark and the reason for its selection** — a scheme benchmarked against an index that does not match its mandate will look better than it should.

- ☐ **Unitholder information** — NAV publication, account statements, redemption timelines, and the process for complaints and grievance redressal through SEBI SCORES.
- ☐ **Key Information Memorandum** — the short version accompanying the application form. The SID is the full document and the one that governs.

> ℹ **Benchmark choice is a real issue**
> SEBI requires a two-tier benchmarking structure: a broad market index at the first tier reflecting the category, and an optional second-tier index reflecting the scheme's specific style. It also mandates **Total Return Index** benchmarking, which closed a significant loophole — comparing against a price index understated the benchmark by roughly the dividend yield every year, making active funds look systematically better than they were. When you read any performance comparison, confirm it is against a TRI. If a chart does not say, assume it is not.

Portfolio Overlap and Over-Diversification

The most common structural flaw in an Indian retail fund portfolio is owning six to ten equity funds in the belief that this is diversification. In practice it usually reproduces the index, at four to eight times the cost, with the added disadvantage that you now have eight things to monitor and no idea what you actually own.

Why overlap happens

TEXT

THE ARITHMETIC OF OVERLAP

The Indian large-cap universe is 100 companies. An active large-cap fund must hold at least 80% in them, and typically holds 40–60 names. Any two such funds are therefore selecting from the same small pool.

  Fund A: 48 large-cap holdings
  Fund B: 52 large-cap holdings
  Common holdings: 34

  Portfolio overlap by WEIGHT is computed as the sum, across all common holdings, of the MINIMUM weight in the two funds:

Holding	Fund A	Fund B	min
Stock 1	8.2%	7.4%	7.4%
Stock 2	6.9%	7.8%	6.9%
Stock 3	5.4%	4.1%	4.1%
... (34 common holdings) ...			
TOTAL OVERLAP			68.4%

  Two "different" large-cap funds, 68% identical. You are paying two management fees for one portfolio.

OVERLAP YOU SHOULD EXPECT

Two large-cap funds	55–80%
Two flexi-cap funds	40–70%
Large-cap fund vs flexi-cap	35–60%
Two mid-cap funds	30–55%
Two small-cap funds	15–35%
Large-cap fund vs small-cap	0–5%
Equity fund vs debt fund	0%

HOW TO COMPUTE IT

  Download both funds' monthly portfolio disclosures (every AMC publishes them as a downloadable file). Match on ISIN, take the minimum weight for each common holding, and sum. Several Indian fund platforms offer an overlap tool that does this automatically.

THE COST OF REDUNDANT FUNDS

  Portfolio Rs 50,00,000 split across 8 equity funds, average TER 1.70% (regular plans).

```
  Annual cost = Rs 85,000

The same exposure through 2 direct-plan index
funds at 0.20%:
  Annual cost = Rs 10,000

DIFFERENCE Rs 75,000 A YEAR, for a portfolio
whose aggregate holdings are, on inspection,
roughly the index.

Over 20 years at 12%, that annual Rs 75,000
difference compounds to well over Rs 50 lakh.
```

How many funds are enough

Portfolio size and complexity	Reasonable structure	Number of schemes
Starting out, one goal, monthly SIP	One broad-market index fund. That is a complete equity portfolio.	**1**
Established, single long-horizon goal	One broad index fund plus one debt or liquid fund for the allocation's fixed-income leg	**2**
Wanting some active and some mid/small exposure	Broad index core, one flexi-cap or mid-cap active fund, one debt fund	**3**
Multiple goals with different horizons	Add a short-duration or target-maturity fund per near-term goal, and optionally an international fund	**4–5**
More than six equity funds	Almost certainly redundant. Compute the overlap and consolidate.	Review

✦ **The test for whether a new fund adds anything**

Before adding any fund to an existing portfolio, ask two questions. **One:** what exposure does this give me that I do not already have? If the answer is not a specific, nameable exposure — small caps, international equity, government bonds, gold — it adds nothing. **Two:** compute the overlap against what you already own. If it is above 50%, you are buying the same portfolio again. A good portfolio is defined by what it *excludes* as much as by what it holds, and adding funds is almost always a way of avoiding the harder decision about asset allocation.

ELSS and the Tax-Saving Landscape

For two decades an Equity Linked Savings Scheme was the obvious answer to a salaried Indian's tax-saving question: equity exposure, the shortest lock-in of any Section 80C instrument, and a deduction. The default new tax regime removed the deduction, which has changed the case for ELSS fundamentally. Most of the material written about ELSS predates this and is now misleading.

The single most important fact in this section

Section 80C — and therefore the ELSS deduction, along with PPF, tax-saving FDs, life insurance premiums and ELSS alike — is **not available under the new tax regime**, which is the **default** regime. If you have not deliberately opted for the old regime, you are getting no tax benefit from an ELSS investment at all, and you are accepting a three-year lock-in for nothing. Check which regime you are actually in before buying an ELSS. Verify the current position at **incometax.gov.in**; regime rules and slab structures have been revised repeatedly and are expected to change again with the Income-tax Act, 2025 taking effect from 1 April 2026.

How ELSS works mechanically

TEXT

ELSS – THE LOCK-IN IS PER INSTALMENT

Minimum 80% in equity. Statutory lock-in of THREE YEARS from the date of ALLOTMENT of each unit – not three years from when you started.

MONTHLY SIP OF Rs 12,500 INTO AN ELSS

  Instalment of 5 Apr 2026 → free on 5 Apr 2029
  Instalment of 5 May 2026 → free on 5 May 2029
  Instalment of 5 Jun 2026 → free on 5 Jun 2029
  ...
  Instalment of 5 Mar 2027 → free on 5 Mar 2030

So an SIP started in April 2026 is not FULLY free until March 2030 – nearly four years. Each instalment unlocks on its own third anniversary, and redemption follows FIFO.

PRACTICAL CONSEQUENCES
- You cannot redeem any part before 3 years, for any reason. No premature exit exists. Not for an emergency, not on job loss.
- Units CANNOT be pledged or transferred during the lock-in.
- After 3 years there is no further restriction; you may hold indefinitely.
- A common and harmless mistake is to keep investing in the same ELSS after you no longer need the deduction, thereby locking money up for no benefit.

LOCK-IN COMPARISON ACROSS 80C INSTRUMENTS

ELSS	3 years
Tax-saving FD	5 years
NSC	5 years
Senior Citizen SCSS	5 years
ULIP	5 years
PPF	15 years (partial withdrawal permitted from year 7)
EPF	until retirement, with limited withdrawals
NPS Tier I	until age 60, with limited exceptions

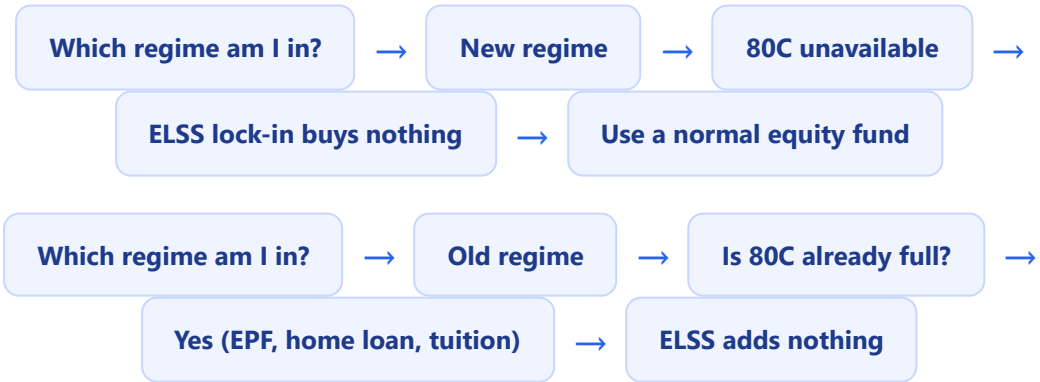
The 80C instruments compared

Instrument	Lock-in	Return character	Risk	Taxation of returns	H
ELSS	3 years per instalment	Equity market returns, unpredictable	High — can fall 40%+	Equity capital gains: LTCG 12.5% above the annual exemption after 12 months	Sh ar op ge ex **m ur re**
PPF	15 years	Rate declared quarterly by the government	Sovereign — effectively none	**EEE** — contribution deductible, interest exempt, maturity exempt	Th fr in av In Ar cc ce Ve cu lir re g(nc
EPF	Until retirement, with permitted withdrawals	Rate declared annually by EPFO	Very low	Exempt subject to conditions, including a five-year continuous-service requirement for withdrawal and taxation of interest on employee contributions above a prescribed annual threshold	U: au sa er er cc se yc yc cc cc

NPS Tier I	Until 60, with limited exceptions	Market-linked across equity, corporate debt and G-Secs	Moderate to high, depending on your chosen allocation	Partially exempt at exit — see section 14	Th in ar ₹5 de 80 th w **en** co ur su ne
Tax-saving FD	5 years	Fixed rate	Very low, within DICGC limits	**Interest fully taxable at slab, every year**	Th op fo a m th ar m
Life insurance premium	Policy term	Varies wildly by product	Varies	Maturity proceeds exempt under Section 10(10D) subject to premium-to-sum-assured conditions and aggregate premium thresholds	**Te pr qu sh te ar** En m po in po re sh ju in ar in de
ULIP	5 years	Market-linked	Varies	Conditional exemption;	Bu in

				high-premium ULIPs are taxed	in ch ha co m TE pl fu sa tr
Home loan principal	—	—	—	—	C 8(fil lir fo h(m ot in m
Children's tuition fees	—	—	—	—	Al th au

Deciding whether ELSS is still for you



TEXT

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WORKED: IS ELSS WORTH IT UNDER THE OLD REGIME?

Assume the old regime, 30% slab plus 4% cess
(effective 31.2%), and 80C has Rs 1,00,000 of
unused headroom after EPF and tuition fees.

  OPTION A: Rs 1,00,000 into ELSS
    Immediate tax saved = 1,00,000 x 31.2%
                        = Rs 31,200
    This is equivalent to an instant 31.2% return,
    available once, in year one.
    Money locked for 3 years.
    Returns thereafter: equity market returns.

  OPTION B: Rs 1,00,000 into a normal flexi-cap
            fund
    Tax saved = Rs 0
    No lock-in.
    Returns: equity market returns (the same).

  The ELSS is Rs 31,200 ahead on day one. For that
  you accept a 3-year lock-in and a restricted
  choice of schemes.

  BREAK-EVEN QUESTION: would you have sold the
  flexi-cap fund within 3 years? If no, the ELSS
  is clearly better under the old regime - the
  lock-in costs you nothing you would have used.
  If yes, you should not have been in equity with
  that money at all.

  CONCLUSION under the OLD regime with unused 80C
  headroom: ELSS is a strong option, and the
  3-year lock-in is the mildest constraint among
  all 80C instruments.

  CONCLUSION under the NEW regime: there is no
  reason to choose an ELSS over an ordinary
  diversified equity fund. The lock-in is pure
  cost with no offsetting benefit.

  THE DECISION YOU SHOULD ACTUALLY MAKE FIRST
  Which regime is better for you overall is a
  separate calculation that depends on your total
  deductions - 80C, 80D, HRA, home loan interest,
  NPS - against the new regime's lower slabs and
  higher standard deduction. Do THAT calculation
  first, with your actual numbers, using the
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official calculator at incometax.gov.in. The
ELSS question is downstream of it.
```

⚠ **If you already hold ELSS units bought under the old regime**
Nothing changes for units already allotted — the deduction you claimed stands, and the three-year lock-in runs its course. What changes is whether you should keep *contributing*. If you have moved to the new regime, stop the ELSS SIP and redirect it to a diversified equity fund with no lock-in; there is no benefit to further contributions. Existing units can simply be held after the lock-in expires — there is no requirement to redeem, and an ELSS after lock-in behaves exactly like any other equity fund.

NPS in Depth

The National Pension System is the only Indian retirement product combining very low charges, market-linked returns, a choice of asset allocation, and a deduction that survives in the new tax regime. It is also illiquid until 60 and forces a portion of the corpus into an annuity. Both halves of that sentence matter.

The structure

Element	Tier I	Tier II
Purpose	Retirement account	Voluntary savings account
Lock-in	Until age 60, with limited exceptions	None — withdraw any time
Tax deduction	Yes — 80CCD(1), 80CCD(1B), 80CCD(2)	None for most subscribers; central government employees have a separate tax-saving variant with a lock-in
Required to open	—	A Tier I account must exist first
Honest assessment	The product	Generally pointless for a retail investor — a mutual fund does the same job with clearer taxation and better liquidity

Asset classes and allocation choice

Class	Invests in	Maximum in Active Choice
E — Equity	Index-linked equity	**75%**, with age-based tapering rules that have been relaxed over time — verify the current position at pfrda.org.in
C — Corporate debt	Corporate bonds and debt securities	100%
G — Government securities	Central and state government bonds	100%
A — Alternative assets	REITs, InvITs, AIFs, mortgage-backed securities	**5%**

Choice	How it works	Suits
Active Choice	You set the E / C / G / A percentages yourself, within the caps, and may change them	Someone who understands asset allocation and will maintain it
Auto Choice — LC75 (Aggressive)	Starts at 75% equity and tapers down with age according to a published glide path	A young subscriber who wants maximum equity without managing it
Auto Choice — LC50 (Moderate)	Starts at 50% equity and tapers	The default for many subscribers
Auto Choice — LC25 (Conservative)	Starts at 25% equity and tapers	A risk-averse subscriber or someone starting late

The tax treatment, which is where NPS is genuinely distinctive

Section	What it allows	Old regime	New regime
80CCD(1)	Your own contribution, subject to a percentage-of-salary limit, **within** the overall ₹1.5 lakh Section 80C ceiling	Available	**Not available**
80CCD(1B)	An **additional ₹50,000** deduction for your own contribution, over and above the ₹1.5 lakh ceiling	Available	**Not available**
80CCD(2)	**Employer's** contribution to your NPS, deductible up to a percentage of salary — raised to **14%** for the new regime by the Finance (No. 2) Act 2024, against 10% under the old regime	Available at 10% of salary	**AVAILABLE at 14% of salary**

✦ **80CCD(2) is the quiet opportunity in the new regime**

Almost every tax deduction a salaried employee relied on disappears in the new regime. **The employer's NPS contribution does not.** If your employer offers an NPS contribution as part of your compensation structure, routing up to 14% of basic salary through it produces a deduction that nothing else in the new regime matches — and it is an *employer* contribution, so it does not reduce your take-home beyond the restructuring itself. This requires your employer to have an NPS corporate arrangement and usually a salary-structure change. **Verify the current percentage, the definition of salary used, and the aggregate employer-contribution cap across EPF, superannuation and NPS at incometax.gov.in — contributions above the aggregate threshold are taxable as a perquisite.**

Exit rules

TEXT

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NPS TIER I EXIT - verify the current rules at
pfrda.org.in and npscra.nsdl.co.in before acting

AT AGE 60 (or superannuation)
  Up to 60% of the corpus may be withdrawn as a
    LUMP SUM - and this lump sum is TAX-EXEMPT
  At least 40% must be used to purchase an ANNUITY
    from an IRDAI-registered life insurer
  The annuity PURCHASE is not taxed, but the
    annuity INCOME you subsequently receive is
    taxed at your slab rate, every year, for life

  Small-corpus exception: if the total corpus is
  below a prescribed threshold, the entire amount
  may be withdrawn without annuitisation.

  Continuation and deferment options exist: you may
  defer the lump sum or the annuity purchase, or
  continue contributing beyond 60, up to prescribed
  age limits.

BEFORE AGE 60 (premature exit)
  Only 20% may be withdrawn as a lump sum
  At least 80% must go into an annuity
  Subject to a minimum subscription period and a
  small-corpus exception

PARTIAL WITHDRAWAL during the accumulation phase
  Permitted up to a prescribed percentage of YOUR
  OWN contributions (not the employer's, and not
  the returns), for specified purposes only -
  higher education, marriage of children, purchase
  or construction of a house, treatment of
  specified illnesses, disability, skill
  development, starting a venture. Subject to a
  minimum years-in-scheme condition and a limit on
  the number of times.

ON DEATH
  The nominee generally receives the entire corpus;
  rules differ for government and non-government
  subscribers.

THE ANNUITY PROBLEM, STATED HONESTLY
  Annuity rates in India have historically been
  modest in nominal terms and most annuity options
  are NOT inflation-indexed. A level annuity bought
  at 60 loses roughly half its purchasing power
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over 25 years at 5% inflation. You are also
locking the rate at the moment of purchase, which
may be a period of low rates, with no ability to
change later.

WORKED ILLUSTRATION
  Corpus at 60                Rs 1,00,00,000
  Lump sum 60% (tax-free)     Rs   60,00,000
  Annuity corpus 40%          Rs   40,00,000
  At an illustrative annuity rate of 6% a year:
    annual annuity            Rs    2,40,000
    taxed at slab, say 20%    Rs      48,000
    net                       Rs    1,92,000
                              = Rs 16,000/month
  Fixed in nominal terms for life.
  In 25 years at 5% inflation that Rs 16,000
  buys what Rs 4,725 buys today.

Verify current annuity rates and the available
annuity variants with IRDAI-registered insurers -
rates change and joint-life, return-of-purchase-
price and increasing-annuity variants all pay
differently.
```

Charges

Charge	Level	Comment
Investment management fee	A slab-based cap, very low by any standard — a small fraction of a typical mutual fund TER	**The strongest feature of NPS.** Verify the current slab at pfrda.org.in.
Point of Presence charge	A percentage of each contribution, subject to a minimum and maximum rupee amount	Lower through the online eNPS route than through a physical POP
Central Recordkeeping Agency charges	Account opening and annual maintenance, plus a per-transaction charge	Fixed rupee amounts; a drag on very small accounts and negligible on large ones
Custodian and NPS Trust charges	Tiny percentages of assets	Negligible

The honest assessment

IN FAVOUR

Among the lowest charges of any managed retirement product anywhere. The 80CCD(1B) additional deduction has no equivalent. **80CCD(2) survives in the new regime**, which is now its most compelling feature. A disciplined glide path. A tax-free 60% lump sum.

AGAINST

Illiquid until 60 with narrowly defined partial withdrawals. **Compulsory annuitisation of at least 40%** at whatever rate prevails, with the income taxed at slab and usually not inflation-indexed. Equity capped at 75%. Switching pension fund managers is possible but adds friction.

COMPARED WITH AN EQUITY FUND

A direct-plan index fund has no lock-in, no annuity requirement, full equity exposure if you want it, and concessional LTCG taxation. It has no deduction. For someone in the **new regime with no employer NPS**, the mutual fund route is generally cleaner.

A REASONABLE CONCLUSION

Use NPS for the **80CCD(1B)** amount if you are in the old regime, and for the **employer 80CCD(2)** contribution in either regime if your employer offers it. Build the rest of your retirement corpus in ordinary funds where you keep control of liquidity and the exit. Treat the annuity requirement as a known cost, not a feature.

Taxation of Funds

Fund taxation in India changed substantially in 2023 and again in 2024, and much of what is written about it online is out of date. The classification rules determine everything, and classification depends on what the fund holds — not on what it is called.

All rates and holding periods below: as at FY 2025-26

Capital gains rates, holding periods, exemption limits and the definition of a "specified mutual fund" have all been amended by recent Finance Acts, and the Income-tax Act, 2025 takes effect from 1 April 2026 with renumbered provisions. **Verify every figure at incometax.gov.in before filing or before making a decision that depends on it.** Nothing here is tax advice; consult a qualified tax professional for your situation.

Classification: the three buckets

Classification	Test	Examples
Equity-oriented fund	Invests **at least 65%** of total proceeds in equity shares of domestic companies	All diversified equity funds, ELSS, index funds and ETFs tracking Indian equity indices, aggressive hybrid funds, **arbitrage funds**, equity savings funds, and most balanced advantage funds
Specified mutual fund	Defined under Section 50AA. The Finance (No. 2) Act 2024 recast the definition around funds investing **more than 65% of total proceeds in debt and money market instruments**, with effect from assessment year 2026-27	Most pure debt funds — liquid, overnight, short duration, corporate bond, gilt, credit risk
Other funds	Neither of the above	Conservative and balanced hybrid funds between 35% and 65% equity, multi-asset funds depending on composition, **gold funds and ETFs**, **international and overseas fund of funds**

The rates

Fund type	Short term	STCG rate	Long term	LTCG rate
Equity-oriented	Held 12 months or less	**20%**	Held more than 12 months	**12.5%** on gains exceeding **₹1.25 lakh** in aggregate across all equity LTCG in the financial year
Specified mutual fund (units acquired on or after 1 April 2023)	Any holding period	**Slab rate** — deemed short-term regardless of how long you hold	Not applicable	Not applicable — no indexation, no concessional rate
Specified mutual fund (units acquired before 1 April 2023)	24 months or less	Slab rate	More than 24 months	**12.5%** without indexation
Other funds (gold, international FoF, 35–65% hybrids)	24 months or less	Slab rate	More than 24 months	**12.5%**

TEXT

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WORKED TAX CALCULATIONS - FY 2025-26 RULES
Investor in the 30% slab (effective 31.2% with cess)

CASE 1: EQUITY FUND, LONG TERM
  Invested         Rs 10,00,000  on 1 Jun 2023
  Redeemed         Rs 16,40,000  on 15 Sep 2026
  Holding period   39 months → LONG TERM
  Capital gain     Rs  6,40,000
  Less exemption   Rs  1,25,000
  Taxable LTCG     Rs  5,15,000
  Tax at 12.5%     Rs    64,375
  Plus cess 4%     Rs     2,575
  TOTAL TAX        Rs    66,950
  EFFECTIVE RATE on the gain = 10.46%

CASE 2: EQUITY FUND, SHORT TERM
  Invested         Rs 10,00,000  on 1 Jun 2026
  Redeemed         Rs 11,80,000  on 20 Mar 2027
  Holding period   9 months → SHORT TERM
  Capital gain     Rs  1,80,000
  No exemption applies to STCG
  Tax at 20%       Rs    36,000
  Plus cess        Rs     1,440
  TOTAL TAX        Rs    37,440
  EFFECTIVE RATE   20.80%

  Note: STCG on equity was raised from 15% to 20%
  with effect from 23 July 2024. Material.

CASE 3: DEBT FUND BOUGHT AFTER 1 APRIL 2023
  Invested         Rs 10,00,000  on 1 Jul 2023
  Redeemed         Rs 12,60,000  on 1 Oct 2027
  Holding period   51 months - IRRELEVANT
  Capital gain     Rs  2,60,000
  Taxed at SLAB    Rs    81,120  (31.2%)
  EFFECTIVE RATE   31.20%

  Pre-2023 the same gain, held over 36 months,
  would have been taxed at 20% WITH indexation,
  which at 5% annual inflation over 4 years would
  have reduced the taxable gain to a small figure.
  THIS is the change that removed the structural
  advantage of debt funds.

CASE 4: ARBITRAGE FUND - why it matters
  Rs 10,00,000 parked for 14 months, returning 6.8%
  Gain                     Rs 95,200
```

```
  AS AN ARBITRAGE FUND (equity-oriented):
    Long term (14 months > 12)
    Within the Rs 1.25 lakh exemption, assuming no
    other equity LTCG
    TAX = Rs 0

  AS A DEBT FUND (specified mutual fund):
    Slab rate 31.2%
    TAX = Rs 29,702

  SAME ECONOMIC EXPOSURE, Rs 29,702 DIFFERENCE.
  This is why arbitrage and equity savings funds
  have become the preferred "debt-like" holding for
  high-bracket taxpayers. The caveats: arbitrage
  returns depend on cash-futures spreads and can be
  poor in low-volatility periods, and the 65%
  equity classification must actually be maintained
  - check the factsheet.

CASE 5: SWITCHING IS A TAXABLE EVENT
  You hold Rs 25,00,000 in a regular-plan equity
  fund with an embedded gain of Rs 9,00,000, held
  3 years. You want to move to the direct plan.

  A switch = redemption + fresh purchase.
  Taxable LTCG  = 9,00,000 - 1,25,000 = 7,75,000
  Tax at 12.5% + cess                 =   1,00,750
  Exit load (if any, past 12 months)  =         0
  Stamp duty on re-purchase 0.005%    =       120
  TOTAL COST OF SWITCHING             = Rs 1,00,870

  ANNUAL SAVING from direct plan at a 1.1% TER gap
  on Rs 24 lakh                       = Rs 26,400

  PAYBACK PERIOD = 1,00,870 / 26,400 = 3.8 years

  CONCLUSION: worth doing if the horizon is well
  beyond 4 years, which for a retirement corpus it
  is. A smarter approach: STOP new contributions to
  the regular plan and direct ALL new money to the
  direct plan, then switch the old holding
  gradually, using the Rs 1.25 lakh annual
  exemption each year to realise gains tax-free.
  Over several years the entire holding can often
  be migrated at close to zero tax.

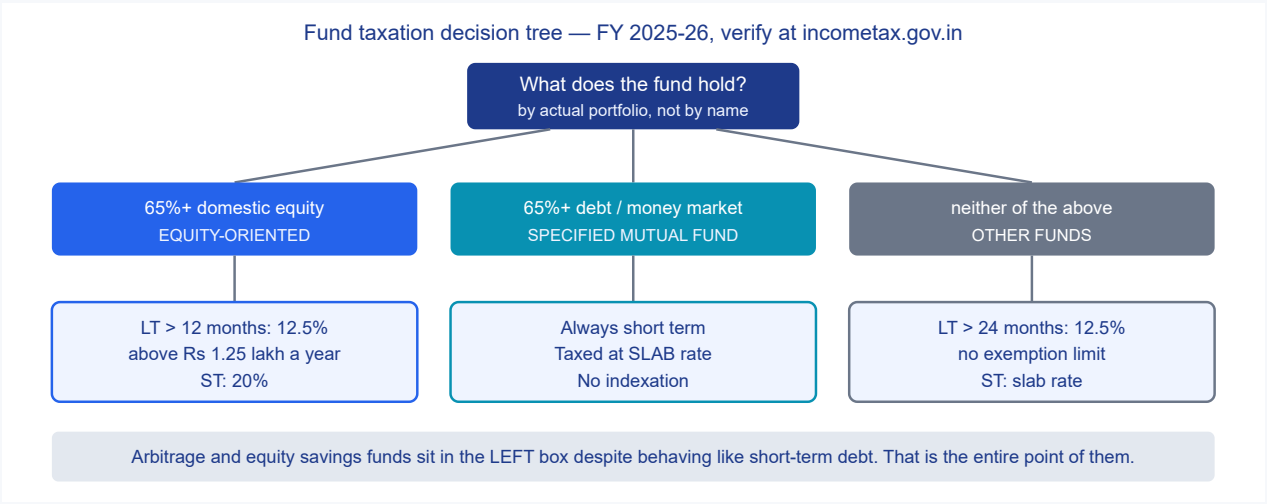
CASE 6: TAX-LOSS HARVESTING AND GAIN HARVESTING
  GAIN HARVESTING: each financial year, redeem
  enough equity units to realise about Rs 1.25 lakh
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of long-term gain, then immediately reinvest. The
gain is tax-free and your cost base is reset
higher, permanently reducing future tax. Costs:
stamp duty of 0.005%, STT of 0.001%, exit load if
the units are under the load period, and 1-2 days
out of the market.

LOSS HARVESTING: realise losses to set off against
gains. Short-term capital loss may be set off
against both STCG and LTCG; long-term capital loss
may be set off only against LTCG. Unabsorbed losses
may be carried forward for 8 assessment years,
provided the return is filed by the due date.
```

IDCW, TDS and other points

Item	Treatment
IDCW (dividend) received	Taxable in your hands at your **slab rate** as income from other sources, in the year received. There is no concessional rate and no exemption limit.
TDS on IDCW	Deducted by the AMC under Section 194K where payouts in a financial year exceed the prescribed threshold (raised by the Finance Act 2025 — verify the current figure). Credit is available against your final liability.
TDS on redemption	Not applicable for resident individuals. **Applicable for NRIs**, at rates depending on the fund type and holding period, deducted before payout.
Securities Transaction Tax	0.001% on redemption or switch-out of equity-oriented schemes, deducted by the AMC. Not deductible against capital gains.
Stamp duty	0.005% on purchase and switch-in. Reduces the units allotted.
Set-off and carry-forward	STCL against STCG and LTCG; LTCL only against LTCG. Carry forward for 8 assessment years if the return is filed on time.
Reporting	Capital gains must be reported in Schedule CG of the ITR, with scrip-wise detail for equity LTCG. Your Consolidated Account Statement and the AMC's or RTA's capital gains statement provide the data. The Annual Information Statement also reflects fund transactions.
Gift and inheritance	Units gifted to a relative as defined in the Act are not taxable on receipt; the recipient inherits the original cost and holding period. Clubbing provisions may apply for gifts to a spouse or minor child.
Transmission on death	Units pass to the nominee or legal heir; there is no capital gains event on transmission, and the heir inherits the original cost and holding period.



Classification drives everything. Check the actual portfolio composition in the factsheet, not the scheme name.

Platforms and Execution

Where you buy matters less than which plan you buy, but it is not irrelevant: the platform determines whether you get direct plans, how easily you can consolidate your records, and whether your nominee can actually claim the units. Get this layer right once and it needs almost no attention afterwards.

The routes, compared

Route	Direct plans?	Cost to you	Strengths	Weaknesses
AMC website directly	Yes	Free	Authoritative. No intermediary. Full access to every scheme of that AMC, including switches and STPs.	One login per AMC. Consolidating a view across four AMCs means four portals.
MF Central	Yes	Free	A joint CAMS-KFintech platform giving a **consolidated view and transaction capability across all AMCs** in one place. Also handles non-financial requests — nomination, bank change, KYC updates — across folios.	Interface is functional rather than polished
RTA portals (CAMS, KFintech)	Yes	Free	Direct access to the record keeper. Best route for Consolidated Account Statements and for fixing folio-level problems.	Split across two RTAs depending on which AMC services your scheme
Direct-plan platforms	Yes	Free, or a flat subscription fee	Good interfaces, portfolio analytics, consolidated reporting, easy SIP management.	An intermediary layer; check it is a SEBI-registered investment adviser or a registered

			A flat fee is honest — it does not scale with your assets.	execution-only platform
"Free" app-based platforms	**Often NOT**	Appears free	Convenient onboarding	**Many are distributors earning trail commission from regular plans.** That is the revenue model. Check the scheme name for "Direct" and check the CAS for an ARN.
Bank relationship manager	Usually not	Appears free	Hand-holding	Regular plans, commission-driven recommendations, frequent switching suggestions. The most expensive route in the table.
Stockbroker / demat	Yes, for most	Varies; demat charges apply	Necessary for ETFs. Single view with your equity holdings.	Units held in demat form add annual maintenance charges; transmission and nomination follow depository rules

Statement of account versus demat holding

	Statement of Account (SOA) mode	Demat mode
Where units are recorded	With the RTA, in a folio against your PAN	In your demat account with NSDL or CDSL
Demat account needed	No	Yes
Annual charges	None	Depository participant AMC charges apply
Buying ETFs	Not possible	Required
Transmission to nominee	Through the RTA, per SEBI's standardised process	Through the depository participant — generally simpler, since one process covers all holdings
Consolidation	CAS from CAMS/KFintech, or MF Central	Everything in one demat statement
Verdict	Fine, and the default for most fund investors	Worth it if you also hold stocks or ETFs, or if simplifying eventual transmission matters to you

The administrative items that actually matter

1. **KYC, and its status**
   Mutual fund KYC is PAN-based and shared across the industry through KYC Registration Agencies. Following SEBI's move towards validated KYC, records that were completed with non-Aadhaar documents may show as "registered" or "on hold" rather than "validated", which can block transactions with a *new* AMC.
   Check your KYC status on a KRA website and re-validate if needed — many investors discovered this only when a transaction failed. Verify the current requirements at sebi.gov.in.

2. **Nomination**
   SEBI has made nomination (or an explicit opt-out declaration) mandatory for mutual fund folios.
   Do this for every folio.
   Without it, your family faces a transmission process requiring succession documentation, which can take months. Up to a prescribed number of nominees with percentage allocations is permitted. Review it after marriage, a birth, or a death in the family.

3 **Consolidated Account Statement**

CAMS and KFintech jointly issue a CAS covering all your mutual fund folios across every AMC, emailed periodically and available on demand. A separate **CAS from the depositories** covers demat holdings including stocks, bonds and ETFs. Request both at least annually. The CAS shows the ARN against each folio, which is how you confirm whether you are in direct or regular plans.

4 **Bank mandate hygiene**

Keep the registered bank account live and funded. If you change banks, update it in every folio — a redemption is credited only to a registered account. MF Central allows a bank change across folios in one request.

5 **Email and mobile**

These are how the AMC communicates every material change. Do not register a work email address you will lose when you change employer.

6 **Grievances**

Complain to the AMC first. If unresolved, escalate through **SEBI SCORES**, and thereafter through the SEBI-administered **Online Dispute Resolution** mechanism. These are free and they work.

✦ **A clean setup, once**

Hold direct plans. Transact through MF Central or the AMC websites. Keep the number of AMCs small so the records are manageable. Register a nomination on every folio. Request a CAS each year, check it for ARN tags and for folios you had forgotten, and file it. That is the entire administrative layer, and done once it takes an afternoon.

Common Mutual Fund Mistakes

The errors below are ranked roughly by how much they cost the average Indian fund investor. Note that the top of the list is entirely behavioural and has nothing to do with fund selection — which is where almost all investor attention goes.

#	Mistake	What it costs	The fix
1	**Stopping the SIP in a drawdown**	Converts the one genuine advantage of a monthly investment into its opposite — you skip exactly the cheap units. Repeated across a career this can cost several percentage points of annualised return.	Pre-commit in writing, now. Set the mandate and do not check the portfolio more than twice a year.
2	**Holding regular plans unknowingly**	0.5–1.3% a year, compounding. On a 25-year ₹20,000 SIP that is roughly ₹59 lakh (section 4).	Check for "Direct" in the scheme name and for an ARN in your CAS. Migrate using the gain-harvesting approach in section 15.
3	**Chasing last year's top performer**	Buys the category or style that has just run, at its most expensive point, and sells the one about to recover. The persistence evidence in section 8 says the selection criterion is near-worthless.	Select on category, cost, mandate and process. Treat past returns as verification, not selection.
4	**Sectoral and thematic funds at the peak of a cycle**	These funds are launched *because* a sector has already performed, which is when flows are easiest to gather. The investor arrives late by construction. Drawdowns of 50–60% in a single sector are routine.	If you want a sector bet, make it deliberately, size it small, and recognise it as a concentrated active position, not as diversification.
5	**NFO mania**	A new fund offer has no track record, often a higher initial TER, and is launched when the category is easy to sell. The ₹10 NAV is **not** a discount (section 3).	There is almost never a reason to buy an NFO over an established scheme in the same category. The exception is a genuinely new exposure that does not already exist.

6	**Owning eight equity funds**	Replicates the index at four to eight times the cost, with none of the simplicity (section 12)	Compute overlap. Consolidate to two to four schemes.
7	**Judging a fund over one year**	One year is noise. A good manager can lag badly for three years; a poor one can lead for two.	Use rolling returns over three- and five-year windows, against the TRI benchmark, and give any thesis at least three years.
8	**Ignoring the benchmark entirely**	"My fund gave 16%" is meaningless if the benchmark gave 19%. The excess return is the only part attributable to the manager.	Always quote fund return *minus* benchmark return, over the same period, against a TRI.
9	**Choosing IDCW over growth**	Converts deferred capital gains into annually taxed income at slab rates, and breaks compounding (section 3)	Growth option, always, unless you are in the lowest slab and genuinely need the cash — in which case use an SWP.
10	**Using an equity fund for a two-year goal**	A 35–50% drawdown arriving in the year you need the money. Equity has no minimum holding period that guarantees a positive return.	Match the instrument to the horizon: liquid or ultra short under a year, short duration for one to three years, and equity only beyond five to seven years.
11	**Treating a debt fund as a fixed deposit**	A long-duration or gilt fund can post a negative year on a rate rise with zero credit risk (section 6). A credit risk fund can lose far more.	Compute the breakeven yield rise before buying. Read the credit quality table and the full portfolio.
12	**Buying a fund without checking the TER**	Within a category, cost is one of the few characteristics with documented predictive power	Check the direct-plan TER in the factsheet against the category median
13	**Switching funds frequently**	Each switch is a redemption: capital gains tax, possibly	Exit only for the reasons in section 18

		exit load, stamp duty, and time out of the market	
14	**No nomination registered**	Months of succession paperwork for your family at the worst possible time	Ten minutes on MF Central, once
15	**Investing before the foundations are in place**	Being forced to redeem equity in a drawdown to fund an emergency or a medical bill — the most expensive possible sequence	Emergency fund, health and term insurance, and high-cost debt cleared, **before** equity. See the foundations guide.

Why thematic funds arrive at the worst time — the structural explanation

Reviewing, and When to Actually Exit a Fund

Most portfolio reviews are exercises in finding a reason to act. The purpose of a review is the opposite: to confirm that nothing requires action, and to catch the small number of situations that genuinely do. Reviewing more often than annually reliably makes outcomes worse.

Legitimate reasons to exit

Reason	Why it is legitimate	Threshold
Mandate drift	The fund is no longer providing the exposure you bought it for, so it no longer fits your asset allocation	A large-cap fund persistently at the 80% regulatory floor with 20% in mid and small caps; a small-cap fund with 45% in mid caps; a "value" fund whose portfolio is indistinguishable from a growth fund. Check twelve consecutive monthly portfolios before concluding.
Persistent underperformance against the benchmark	The reason to pay an active fee is excess return. If it is absent over a full cycle, the fee is buying nothing.	**Three to five years of underperformance against the TRI benchmark, using rolling returns, with no explanation consistent with the stated process.** Not one year. Not two.
Fund manager departure	In a high-conviction, process-light fund, the manager *is* the product	Not an automatic exit. Ask: was the process institutional or personal? Who replaced them and with what record? Give it two to four quarters and watch whether the portfolio character changes. For an index fund the manager is irrelevant.
Costs rose materially relative to peers	A certain, ongoing drag	TER drifting well above the category median without a corresponding change in the strategy
Capacity breached	A small-cap fund that has become a mid-cap fund by asset growth is no longer the exposure you bought	Check the market-cap composition and the stress test disclosure, not the AUM number alone
Your asset allocation changed	A shorter horizon, a changed goal, or an approaching liability	This is the most common genuinely good reason to sell equity, and it has nothing to do with the fund
Rebalancing	Restoring the target allocation after a large move	Annually, or when an allocation drifts beyond a pre-set band. Prefer to rebalance with **new contributions** rather than by selling, since redirecting an SIP is tax-free and selling is not.

Consolidating redundant funds	Reducing overlap and complexity	After computing overlap. Mind the tax cost; use the annual exemption over several years.
Scheme merged or its fundamental attributes changed	The AMC has changed the product	SEBI requires a change in fundamental attributes to be communicated with an **exit option without exit load** for a prescribed period. Read the notice and decide deliberately.

Illegitimate reasons that feel legitimate

- ☐ **"The market has fallen."** You are selling the asset class, not the fund, and you are doing it at the worst time. If the allocation was right at the top it is more right now.
- ☐ **"The market is at an all-time high."** Markets spend a large share of their time near all-time highs; that is what an upward-trending series does. This is market timing with extra steps.
- ☐ **"Another fund did better last year."** The persistence evidence in section 8 says that is close to uninformative. Switching on this basis guarantees costs and tax in exchange for a coin flip.
- ☐ **"It has been flat for two years."** Two flat years inside a seven-year holding period is ordinary. Judge against the benchmark, not against zero.
- ☐ **"I want to book profits."** Booking profits in an accumulation portfolio means paying tax to convert an appreciating asset into cash you will then have to redeploy, usually at a higher price.
- ☐ **"The rating was downgraded from five stars to three."** Ratings are backward-looking by construction; the downgrade follows the underperformance you have already experienced.
- ☐ **"My relationship manager suggested a better scheme."** Ask how they are paid. Then ask for the comparison against the TRI benchmark over rolling five-year windows, in writing.

The cost of switching, quantified

TEXT

```
BEFORE ANY SWITCH, COMPUTE THIS

  1. CAPITAL GAINS TAX on the redemption
       Equity LTCG: 12.5% above Rs 1.25 lakh
       Equity STCG: 20%
       Debt: slab rate
  2. EXIT LOAD, if within the load period
  3. STAMP DUTY 0.005% on the re-investment
  4. STT 0.001% on equity redemption
  5. TIME OUT OF THE MARKET, usually 1-3 days

WORKED: is a switch worth it?
  Holding Rs 15,00,000, embedded LTCG Rs 5,00,000,
  held 4 years, equity fund.

  COST OF SWITCHING
    Taxable LTCG  5,00,000 - 1,25,000 = 3,75,000
    Tax at 12.5% + 4% cess            =   48,750
    Exit load (past 12 months)        =        0
    STT 0.001%                        =      150
    Stamp duty 0.005% on re-purchase  =      745
    TOTAL                             = Rs 49,645
                                      = 3.3% of
                                        the corpus

  REQUIRED JUSTIFICATION
    To recover 3.3% at a 1.0% annual advantage
    takes 3.3 years BEFORE compounding, longer
    once you account for the lost compounding on
    the Rs 49,645 of tax paid.

    So the new fund must be expected to outperform
    by about 1% a year for at least four years.
    Given the persistence evidence, that is a
    claim you should be very reluctant to make.

  WHEN THE ARITHMETIC CLEARLY WORKS
    - Regular to direct plan: the TER gap of
      1.1% is CERTAIN, not forecast. Payback in
      roughly 3 years, then permanent.
    - Exiting a fund that has genuinely drifted
      from its mandate: you are fixing your asset
      allocation, which is not a return bet.
    - Consolidating four overlapping funds into
      one: fixes cost and complexity permanently.

  THE TECHNIQUE THAT AVOIDS MOST OF THE COST
    Stop contributing to the old fund and direct
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all NEW money to the new one. Then migrate the
old holding over several financial years,
realising about Rs 1.25 lakh of long-term gain
each year so that each tranche is tax-free.
For most retail portfolios this can move the
entire holding at close to zero tax over three
to six years.
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Frequently Asked Questions

The questions Indian fund investors actually ask, answered directly. None of this is advice; every rate and rule is as at FY 2025-26 / late 2026 and must be verified at sebi.gov.in, amfiindia.com, incometax.gov.in and pfrda.org.in.

Is a fund with a ₹12 NAV cheaper than one with a ₹450 NAV?

No, and the two are not comparable in any way. A unit's NAV is total portfolio value divided by units outstanding, and the unit count depends only on how long the scheme has existed and how much money has flowed in. ₹1,00,000 into a ₹12 NAV fund and ₹1,00,000 into a ₹450 NAV fund with an identical portfolio produce identical outcomes — the worked proof is in section 3. The same point disposes of the idea that a new fund offer at ₹10 is a discount: it is a brand-new portfolio bought at today's prices with no track record.

Direct or regular plan — does it really matter that much?

It is the single largest controllable variable in this guide. On a ₹20,000 monthly SIP over 25 years at 12% gross, a 1.1 percentage point TER difference costs approximately **₹59.5 lakh** — close to the entire ₹60 lakh you contributed. The portfolio, manager and strategy are identical; the only difference is distributor commission. Check whether you hold direct plans by looking for the word "Direct" in the scheme name and for an ARN tag in your Consolidated Account Statement. Many "free" apps are distributors selling regular plans; that is how they make money.

Does rupee cost averaging actually work?

Partly, and it is oversold. It is mathematically true that a fixed rupee instalment buys you the harmonic mean of the NAVs, which is at or below the arithmetic mean — in the worked example in section 9 that advantage was 0.93%. But markets rise more often than they fall, so staggering a *lump sum* over time has historically underperformed investing it immediately roughly two-thirds of the time. The real reasons to run an SIP are different and better: most people invest from monthly income and have no lump sum; the mandate removes the decision and defeats procrastination; and staggering reduces the regret that causes people to abandon equity entirely. Those are strong reasons. The averaging arithmetic is a footnote.

Should I stop my SIP when the market crashes?

No, and this is the single most expensive mistake in Indian retail investing. A falling market is the only time a monthly instalment buys meaningfully more units; stopping then and restarting after the recovery means you bought expensively and skipped the cheap period. AMFI data shows SIP discontinuations rising during market stress, which means a large number of investors do exactly this. The defence is a pre-commitment made while markets are calm: write down now that you will not stop, and reduce how often you look at the portfolio. If a 40% fall would genuinely force you to stop, you are in the wrong asset allocation, which is a different problem.

How many mutual funds should I own?

Fewer than you think. One broad-market index fund is a complete equity portfolio. Two to four schemes covers almost every realistic situation: a broad equity core, perhaps one active or mid/small-cap satellite, and a debt or liquid fund for the fixed-income leg and near-term goals. Beyond five or six equity funds you are almost certainly reproducing the index with heavy overlap at several times the cost — compute the overlap by matching the monthly portfolio disclosures on ISIN, as set out in section 12. Two large-cap funds are typically 55–80% identical by weight.

Index fund or active fund?

The arithmetic is not in dispute: the average active rupee must earn the market return minus the extra cost. The Indian evidence from SPIVA scorecards is consistent with that, and is most unfavourable to active management in **large-cap equity and in debt**; it is least unfavourable in mid- and small-cap, though most funds have lagged there too over long horizons. Persistence of outperformance is weak, so you cannot reliably identify the winners in advance. A defensible answer is a low-cost passive core with any active exposure deliberately limited, chosen on cost and process rather than recent returns. An entirely passive two- or three-fund portfolio is equally defensible and simpler. Download the current scorecard from spglobal.com/spdji rather than relying on anyone's summary, including this one.

Are debt funds safe? Can they lose money?

They can and do. Two separate risks. **Interest-rate risk:** a gilt fund with a modified duration of 8.5 loses about 12.75% of value on a 150 basis point yield rise, which against a 6.6% net accrual gives a **negative year with zero credit risk**. The breakeven calculation — net yield divided by modified duration — tells you how far yields can rise before a year turns negative, and takes thirty seconds. **Credit risk:** a default is written down in the NAV, and redemptions by other investors then leave the remaining holders with a worse portfolio, which is what made India's 2018–2020 debt fund episodes so damaging. Match duration to your horizon, read the credit quality table, and if you will not read the full portfolio, stay in gilt, overnight, liquid and corporate bond categories.

Are debt funds still better than fixed deposits after the 2023 tax change?

Far less clearly than before. The Finance Act 2023 removed indexation and the concessional long-term rate for most debt funds, which was their main structural advantage. The worked comparison in section 6 — ₹10 lakh for five years at a 30% slab — gives the debt fund an edge of roughly ₹7,300 over five years, or about 0.12% a year, arising purely from tax deferral. What remains in a debt fund's

favour is deferral, liquidity without a premature-withdrawal penalty, control over which tax year you realise in, and partial withdrawal. What an FD has is contractual certainty, DICGC insurance up to the limit, and no mark-to-market. For a high-bracket taxpayer wanting debt-like exposure, **arbitrage and equity savings funds** are now often more efficient than either, because they receive equity taxation — with the caveat that arbitrage returns depend on market spreads.

Index fund or ETF?

For a monthly SIP investor in India, generally the **index fund**, despite its slightly higher expense ratio. An ETF requires a demat and trading account, trades in whole units at a market price that can diverge from the indicative NAV, and attracts brokerage, exchange charges, GST, STT and the bid-ask spread on every purchase. The premium-and-discount problem is real on Indian exchanges outside the most liquid trackers, and it is worst precisely when markets are stressed. An ETF makes sense for a large lump sum where you can check the iNAV and place a limit order. If you do buy an ETF: check iNAV first, always use limit orders, avoid the first and last fifteen minutes of the session, and check average daily traded value before choosing the ETF at all.

Is ELSS still worth it?

Only if you are in the **old tax regime** and have unused Section 80C headroom. Section 80C is not available in the new regime, which is the default — so if you have not deliberately opted for the old regime, an ELSS gives you a three-year lock-in and no deduction whatsoever, which is strictly worse than an ordinary diversified equity fund. If you are in the old regime with headroom, ELSS is a strong option: an immediate benefit of roughly 31% of the amount invested at the top slab, with the shortest lock-in of any 80C instrument. Note that the lock-in runs three years from each instalment's allotment, so an SIP started in April 2026 is not fully free until March 2030. Decide which regime suits you first, using your actual numbers on the calculator at incometax.gov.in; the ELSS question is downstream of that.

Should I invest in NPS?

For two specific purposes, yes. First, the **80CCD(1B)** additional ₹50,000 deduction if you are in the old regime — nothing else offers it. Second, and more importantly now, the **employer contribution under 80CCD(2)**, which is one of the very few deductions surviving in the new regime, at up to 14% of salary. Against that: the money is locked until 60, at least 40% of the corpus must buy an annuity at whatever rate prevails, and that annuity income is taxed at slab and is usually not inflation-indexed — a level annuity loses roughly half its purchasing power over 25 years at 5% inflation. The charges are genuinely excellent. A reasonable position is to use NPS for those two deduction buckets and build the rest of your retirement corpus in ordinary funds where you retain control of the exit.

Growth or IDCW option?

Growth, for almost everyone. An IDCW payout is not income generated by the fund — it is a distribution out of the scheme's own NAV, which falls by exactly the amount distributed, and it may include a return of your own capital. You receive ₹4, the NAV falls ₹4, and you owe tax on the ₹4 at your slab rate. IDCW reinvestment is worse still: slab-rate tax with no cash received. The growth option

defers all tax until you choose to redeem and then taxes it as capital gains at concessional rates. If you need periodic income, use an **SWP from the growth option**: each withdrawal is part capital and part gain, so only the gain is taxed, and after twelve months at the concessional long-term rate with the annual exemption available. The worked comparison in section 9 shows an SWP beating an equivalent IDCW by roughly ₹1.7 lakh a year on a ₹1 crore corpus.

How do I actually choose between two similar funds?

After fixing the category and insisting on the direct plan, compare in this order: **TER** against the category median; **mandate consistency** across twelve monthly portfolio disclosures; **maximum drawdown** and **downside capture**, because those describe the experience you will have to survive; **portfolio overlap** with what you already own; **AUM appropriateness** for the strategy; **manager tenure** against the period of the track record being advertised; and only last, **rolling returns** over three- and five-year windows against the Total Return Index. Past returns come last deliberately — the persistence evidence says they are close to uninformative for selection, though a fund lagging its benchmark for five years does need explaining.

My fund has underperformed for two years. Should I switch?

Almost certainly not yet. Two years is within the normal range for any active strategy, and switching costs you capital gains tax, possibly an exit load, stamp duty and time out of the market — the worked example in section 18 puts a typical switch at around 3.3% of the corpus, which needs roughly four years of 1% annual outperformance to recover. The threshold worth acting on is **three to five years of underperformance against the TRI benchmark on rolling returns, with no explanation consistent with the fund's stated process**, or a clear mandate drift, or a manager departure in a manager-dependent fund. And before switching for performance, consider whether the honest answer is to move the money to a low-cost index fund rather than to another active fund chosen on the same criterion that failed you.

What happens to my money if the AMC goes under?

Your units are not an asset of the AMC. An Indian mutual fund is a **trust**; the trustees hold the scheme's securities for unitholders, a separate SEBI-registered custodian physically holds them, and an independent RTA maintains the records. Scheme assets are therefore not available to the AMC's creditors. The trustees can terminate the AMC's appointment, and in practice Indian AMCs that have been sold or wound down have had their schemes transferred or merged, with unitholders given a load-free exit option. **What this structure does not protect you from is the performance of the securities themselves** — if the bonds in a debt fund default, you lose money, and there is no deposit insurance equivalent for mutual funds. That is market risk, and it is the risk you signed up for.

Fund Selection Checklist and Annual Review Calendar

Everything above, compressed into two working documents: a checklist to run before buying any fund, and a calendar that keeps the portfolio healthy on roughly four hours a year.

A. Before you buy anything (6 items)

- ☐ Emergency fund of six months' expenses is in place, in a liquid or overnight fund or a sweep deposit
- ☐ Term life insurance and family health insurance are in force
- ☐ Credit card and personal loan debt is cleared
- ☐ The goal, its horizon and the required amount are written down
- ☐ Asset allocation decided and written down, with the equity portion matched to a horizon of at least five to seven years
- ☐ Tax regime chosen, with the comparison actually computed on your numbers at incometax.gov.in

B. Category and plan (5 items)

- ☐ Category chosen from the asset allocation, **before** looking at any fund's returns
- ☐ SEBI category rules for that category understood — what the fund must and must not hold
- ☐ Scheme name contains **"Direct"**
- ☐ Growth option, not IDCW
- ☐ If an ELSS: old regime confirmed, and 80C headroom confirmed as unused

C. Costs (5 items)

- ☐ Direct-plan TER checked in the latest factsheet and compared against the category median
- ☐ Gap between direct and regular TER noted — this is what you are saving
- ☐ Exit load structure and period noted

- [ ] For an ETF: brokerage, exchange charges, GST, demat annual charges and typical bid-ask spread estimated
- [ ] Portfolio turnover ratio checked — very high turnover means transaction costs you bear invisibly

D. The portfolio itself (7 items)

- [ ] Twelve monthly portfolio disclosures reviewed for mandate consistency
- [ ] Market-cap composition checked against the category label
- [ ] Top-10 concentration computed; cash holding checked for a persistent drag
- [ ] Sector bets against the benchmark noted and consciously accepted
- [ ] For debt funds: credit quality table read, YTM compared against the category, Macaulay and modified duration noted, **breakeven yield rise computed**
- [ ] For debt funds: the full monthly portfolio read holding by holding, or the category restricted to gilt, overnight, liquid or corporate bond
- [ ] Potential Risk Class matrix (debt) and riskometer level noted

E. Risk and performance (6 items)

- [ ] **Maximum drawdown converted into rupees on your intended investment**, and the honest question asked: would I continue the SIP at that point?
- [ ] Standard deviation and beta compared against the category
- [ ] Sharpe and Sortino compared against the benchmark, not quoted in isolation
- [ ] Upside and downside capture ratios checked — the combination is more informative than the headline return
- [ ] Rolling three- and five-year returns reviewed, against the **Total Return Index**
- [ ] Percentage of rolling windows beating the benchmark noted, rather than a single point-to-point figure

F. Fit with what you already own (4 items)

- ☐ Portfolio overlap computed against existing holdings; anything above 50% challenged
- ☐ The specific new exposure this fund provides can be named in one sentence
- ☐ Total scheme count after the addition is five or fewer
- ☐ AUM appropriate for the strategy; stress test disclosure checked for mid- and small-cap funds

G. Manager, AMC and admin (6 items)

- ☐ Fund manager tenure compared against the period of the track record being advertised
- ☐ Performance of the manager's other schemes checked — SEBI requires this disclosure
- ☐ AMC's history on credit events, mandate discipline and whether it closes funds at capacity considered
- ☐ KYC status confirmed as validated with a KRA
- ☐ **Nomination registered** on the folio
- ☐ Bank mandate, email and mobile number current and not tied to an employer

The annual review calendar

When	Task	Time
April (start of the financial year)	Confirm the tax regime for the year. Set or reset the **step-up** on every SIP to match the year's salary increase. Confirm the NPS employer contribution if applicable.	45 min
April	Reconfirm the asset allocation against the goals. Has any horizon shortened enough that money should move out of equity?	30 min
July	File the income tax return. Use the AMC or RTA capital gains statement and cross-check against the Annual Information Statement. Report any carried-forward losses.	90 min
October	Request the Consolidated Account Statement from CAMS/KFintech and the depository CAS. Check for forgotten folios, confirm every holding is a direct plan, and confirm nominations are registered on all of them.	45 min
January	Full portfolio review: TERs against category medians, mandate consistency over the last twelve monthly disclosures, overlap, and rolling returns against the TRI benchmark. Act only on the legitimate exit reasons in section 18.	2 hours
February–March	**Gain harvesting**: realise roughly ₹1.25 lakh of long-term equity gain and reinvest, resetting the cost base tax-free. **Loss harvesting**: realise losses to set off against gains. Complete any 80C or 80CCD(1B) contributions if you are in the old regime.	60 min
Rebalance	Once a year, or when an allocation drifts beyond a pre-set band. **Prefer to rebalance with new contributions** — redirecting an SIP is tax-free; selling is not.	30 min
Never	Check the portfolio daily. Act on a one-year return. Stop an SIP because the market fell.	—

₹59.5L
COST OF A REGULAR PLAN

2–4
FUNDS IS ENOUGH

~4 hrs
PER YEAR OF WORK

1
RULE: NEVER STOP THE SIP

A minimal portfolio that is genuinely defensible

✓ **The honest summary of this entire guide**

Three decisions determine almost all of your outcome, and none of them is fund selection. **How much you invest** — a 10% annual step-up on a 25-year SIP produces roughly 2.6 times the corpus of a flat one. **What you invest in** — the asset allocation, matched to the horizon. **What you pay** — direct plans over regular plans is a certain 0.5–1.3% a year with no trade-off, worth around ₹59 lakh on the worked example. After those three, choosing between two reasonable funds in the same category is a rounding error, and the evidence says you probably cannot pick the winner in advance anyway. Set it up once, automate it, and then leave it alone — the leaving-alone is the hardest part and the most valuable.

✗ **Final reminder**

This guide is financial education and is not investment advice. No scheme, AMC, platform or product is recommended anywhere in it. Mutual fund investments are subject to market risks; read all scheme-related documents carefully. **Past performance does not predict future returns and you can lose your entire capital.** Every rate, limit, category rule, charge and tax provision described here is as at FY 2025-26 / late 2026 and must be verified at **sebi.gov.in**, **amfiindia.com**, **incometax.gov.in** and **pfrda.org.in**, and against the scheme's own Scheme Information Document, before you rely on it. For advice specific to your circumstances, consult a **SEBI-registered Investment Adviser** and verify their registration number before paying anything.